

# **Hackensack Meridian Health, Inc.**

**Consolidated Financial Statements and  
Consolidating Supplemental Schedules  
December 31, 2024 and 2023**

# Hackensack Meridian Health, Inc.

## Index

December 31, 2024 and 2023

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|                                             | Page(s)    |
|---------------------------------------------|------------|
| <b>Report of Independent Auditors .....</b> | <b>1–3</b> |
| <b>Consolidated Financial Statements</b>    |            |
| Balance Sheets .....                        | 4          |
| Statements of Operations .....              | 5          |
| Statements of Changes in Net Assets .....   | 6          |
| Statements of Cash Flows .....              | 7          |
| Notes to Financial Statements .....         | 8–40       |
| <b>Consolidating Supplemental Schedules</b> |            |
| Balance Sheet .....                         | 41         |
| Statement of Operations .....               | 42         |
| Note to Supplemental Schedules .....        | 43         |



## **Report of Independent Auditors**

To The Board of Trustees of  
Hackensack Meridian Health, Inc.

### ***Opinion***

We have audited the accompanying consolidated financial statements of Hackensack Meridian Health, Inc. and its subsidiaries (the “Network”), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations, of changes in net assets and of cash flows for the years then ended, including the related notes (collectively referred to as the “consolidated financial statements”).

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Network as of December 31, 2024 and 2023, and the results of its operations, changes in its net assets, and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

### ***Basis for Opinion***

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Network and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### ***Responsibilities of Management for the Consolidated Financial Statements***

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Network’s ability to continue as a going concern for one year after the date the consolidated financial statements are issued.



### ***Auditors' Responsibilities for the Audit of the Consolidated Financial Statements***

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Network's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Network's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.



### ***Supplemental Information***

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements taken as a whole. The accompanying supplemental consolidating information as of and for the year ended December 31, 2024 (the “supplemental information”) is presented for purposes of additional analysis and is not a required part of the consolidated financial statements. The consolidating information is not intended to present, and we do not express an opinion on, the financial position, results of operations, changes in net assets and cash flows of the individual companies. The supplemental information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The supplemental information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves and other additional procedures, in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplemental information is fairly stated, in all material respects, in relation to the consolidated financial statements taken as a whole.

*PricewaterhouseCoopers LLP*

New York, New York  
April 1, 2025

**Hackensack Meridian Health, Inc.**  
**Consolidated Balance Sheets**  
**December 31, 2024 and 2023**

| <i>(in thousands)</i>                                                 | <b>2024</b>          | <b>2023</b>          |
|-----------------------------------------------------------------------|----------------------|----------------------|
| <b>Assets</b>                                                         |                      |                      |
| Current assets                                                        |                      |                      |
| Cash and cash equivalents                                             | \$ 211,572           | \$ 239,756           |
| Patient accounts receivable, net                                      | 932,810              | 891,498              |
| Pledges receivable, net                                               | 73,230               | 50,488               |
| Other current assets                                                  | 856,015              | 646,316              |
| Assets limited as to use and investments, current portion             | <u>1,388,426</u>     | <u>1,186,261</u>     |
| Total current assets                                                  | 3,462,053            | 3,014,319            |
| Assets limited as to use and investments, noncurrent portion          | 3,983,546            | 3,465,610            |
| Investment in joint ventures                                          | 198,731              | 175,876              |
| Property and equipment, net                                           | 3,590,250            | 3,476,725            |
| Operating lease right-of-use assets                                   | 321,456              | 351,619              |
| Other assets                                                          | <u>393,078</u>       | <u>342,826</u>       |
| Total assets                                                          | <u>\$ 11,949,114</u> | <u>\$ 10,826,975</u> |
| <b>Liabilities and Net Assets</b>                                     |                      |                      |
| Current liabilities                                                   |                      |                      |
| Current maturities of long-term debt and finance lease obligations    | \$ 145,527           | \$ 61,849            |
| Current portion of operating lease obligations                        | 67,174               | 41,674               |
| Accounts payable and accrued expenses                                 | 1,211,252            | 1,112,997            |
| Other current liabilities                                             | <u>176,049</u>       | <u>209,499</u>       |
| Total current liabilities                                             | 1,600,002            | 1,426,019            |
| Long-term debt and finance lease obligations, less current maturities | 2,773,661            | 2,929,620            |
| Long-term operating lease obligations                                 | 279,258              | 320,815              |
| Accrued pension benefits                                              | 7,074                | 8,785                |
| Other liabilities                                                     | <u>571,443</u>       | <u>556,487</u>       |
| Total liabilities                                                     | <u>5,231,438</u>     | <u>5,241,726</u>     |
| Net assets (deficit)                                                  |                      |                      |
| Without donor restrictions controlled by the Network                  | 6,255,444            | 5,168,720            |
| Without donor restrictions attributable to noncontrolling interests   | <u>(2,589)</u>       | <u>21,070</u>        |
| Net assets without donor restrictions                                 | 6,252,855            | 5,189,790            |
| Net assets with donor restrictions                                    | <u>464,821</u>       | <u>395,459</u>       |
| Total net assets                                                      | <u>6,717,676</u>     | <u>5,585,249</u>     |
| Total liabilities and net assets                                      | <u>\$ 11,949,114</u> | <u>\$ 10,826,975</u> |

The accompanying notes are an integral part of these consolidated financial statements.

**Hackensack Meridian Health, Inc.**  
**Consolidated Statements of Operations**  
**Years Ended December 31, 2024 and 2023**

| <i>(in thousands)</i>                                                            | <b>2024</b>         | <b>2023</b>       |
|----------------------------------------------------------------------------------|---------------------|-------------------|
| <b>Unrestricted revenues and other support</b>                                   |                     |                   |
| Net patient service revenue                                                      | \$ 8,185,664        | \$ 7,202,441      |
| Other revenue                                                                    | 695,549             | 599,512           |
| Net gain (loss) on equity investments                                            | 7,491               | (1,059)           |
| Net assets released from restriction used for operating activities               | 27,604              | 24,369            |
| Total unrestricted revenues and other support                                    | <u>8,916,308</u>    | <u>7,825,263</u>  |
| <b>Expenses</b>                                                                  |                     |                   |
| Salaries and contracted labor                                                    | 3,167,056           | 2,931,342         |
| Physician salaries and fees                                                      | 802,105             | 650,620           |
| Employee benefits                                                                | 756,720             | 662,707           |
| Supplies and other                                                               | 3,396,469           | 2,947,257         |
| Depreciation and amortization                                                    | 305,529             | 296,210           |
| Interest                                                                         | 101,128             | 105,845           |
| Total expenses                                                                   | <u>8,529,007</u>    | <u>7,593,981</u>  |
| Excess of revenues over expenses before other operating adjustments              | 387,301             | 231,282           |
| <b>Other operating adjustments</b>                                               |                     |                   |
| Investment income, net                                                           | 563,171             | 499,988           |
| Other gains, net                                                                 | 21,709              | 8,375             |
| Excess of revenues over expenses                                                 | <u>972,181</u>      | <u>739,645</u>    |
| <b>Other adjustments in net assets without donor restrictions</b>                |                     |                   |
| Net assets released from restriction for capital acquisitions                    | 60,905              | 17,051            |
| Pension-related adjustments                                                      | 61,477              | 96,423            |
| Other changes                                                                    | (38,666)            | (8,742)           |
| Contributions from (distributions to) noncontrolling interests                   | 7,168               | (33,282)          |
| Increase in net assets without donor restrictions before discontinued operations | 1,063,065           | 811,095           |
| Gain on discontinued operations                                                  | <u>-</u>            | <u>51,255</u>     |
| Increase in net assets without donor restrictions                                | <u>\$ 1,063,065</u> | <u>\$ 862,350</u> |

The accompanying notes are an integral part of these consolidated financial statements.

**Hackensack Meridian Health, Inc.**  
**Consolidated Statements of Changes in Net Assets**  
**Years Ended December 31, 2024 and 2023**

| <i>(in thousands)</i>                                              | <b>Without<br/>Donor<br/>Restrictions</b> | <b>With<br/>Donor<br/>Restrictions</b> | <b>Total<br/>Net Assets</b> |
|--------------------------------------------------------------------|-------------------------------------------|----------------------------------------|-----------------------------|
| <b>Balances at December 31, 2022</b>                               | <u>\$ 4,327,440</u>                       | <u>\$ 328,893</u>                      | <u>\$ 4,656,333</u>         |
| Excess of revenues over expenses                                   | 739,645                                   | -                                      | 739,645                     |
| Investment gain                                                    | -                                         | 4,328                                  | 4,328                       |
| Contributions                                                      | -                                         | 94,115                                 | 94,115                      |
| Net assets released from restriction for capital acquisitions      | 17,051                                    | (17,051)                               | -                           |
| Net assets released from restriction used for operating activities | -                                         | (24,369)                               | (24,369)                    |
| Pension-related adjustments                                        | 96,423                                    | -                                      | 96,423                      |
| Other changes                                                      | (8,742)                                   | 9,543                                  | 801                         |
| Distributions to noncontrolling interests                          | <u>(33,282)</u>                           | <u>-</u>                               | <u>(33,282)</u>             |
| Increase in net assets before discontinued operations              | 811,095                                   | 66,566                                 | 877,661                     |
| Gain on discontinued operations                                    | <u>51,255</u>                             | <u>-</u>                               | <u>51,255</u>               |
| Increase in net assets                                             | <u>862,350</u>                            | <u>66,566</u>                          | <u>928,916</u>              |
| <b>Balances at December 31, 2023</b>                               | <u>5,189,790</u>                          | <u>395,459</u>                         | <u>5,585,249</u>            |
| Excess of revenues over expenses                                   | 972,181                                   | -                                      | 972,181                     |
| Investment gain                                                    | -                                         | 6,773                                  | 6,773                       |
| Contributions                                                      | -                                         | 90,421                                 | 90,421                      |
| Net assets released from restriction for capital acquisitions      | 60,905                                    | (60,905)                               | -                           |
| Net assets released from restriction used for operating activities | -                                         | (27,604)                               | (27,604)                    |
| Pension-related adjustments                                        | 61,477                                    | -                                      | 61,477                      |
| Other changes                                                      | (38,666)                                  | 60,677                                 | 22,011                      |
| Contributions from noncontrolling interests                        | <u>7,168</u>                              | <u>-</u>                               | <u>7,168</u>                |
| Increase in net assets                                             | <u>1,063,065</u>                          | <u>69,362</u>                          | <u>1,132,427</u>            |
| <b>Balances at December 31, 2024</b>                               | <u>\$ 6,252,855</u>                       | <u>\$ 464,821</u>                      | <u>\$ 6,717,676</u>         |

The accompanying notes are an integral part of these consolidated financial statements.

# Hackensack Meridian Health, Inc.

## Consolidated Statements of Cash Flows

### Years ended December 31, 2024 and 2023

(in thousands)

|                                                                                            | 2024              | 2023              |
|--------------------------------------------------------------------------------------------|-------------------|-------------------|
| <b>Cash flows from operating activities</b>                                                |                   |                   |
| Increase in net assets                                                                     | \$ 1,132,427      | \$ 928,916        |
| Adjustments to reconcile change in net assets to net cash provided by operating activities |                   |                   |
| Depreciation and amortization                                                              | 305,529           | 296,210           |
| (Gain) loss on disposal of property and equipment                                          | (58)              | 1,059             |
| Gain on assets held for sale                                                               | -                 | (95,119)          |
| Amortization of deferred financing costs                                                   | 643               | 546               |
| Amortization of bond premium                                                               | (3,951)           | (3,031)           |
| Net (gain) loss on equity investments                                                      | (7,491)           | 1,059             |
| Distributions from joint ventures                                                          | 31,048            | 37,138            |
| Realized and unrealized gain on investments                                                | (502,923)         | (444,428)         |
| Restricted contributions for capital acquisitions                                          | (43,869)          | (45,459)          |
| Pension-related adjustments                                                                | (61,477)          | (96,423)          |
| Derecognition of equity attributable to noncontrolling interests upon deconsolidation      | 21,318            | -                 |
| Changes in assets and liabilities                                                          |                   |                   |
| Patient accounts receivable and pledges receivable                                         | (49,422)          | (118,639)         |
| Other assets                                                                               | (242,440)         | (170,437)         |
| Accounts payable and accrued expenses                                                      | 103,551           | (11,457)          |
| Accrued pension benefits                                                                   | 59,766            | 47,870            |
| Other liabilities                                                                          | (34,431)          | 219,716           |
| Net cash provided by operating activities                                                  | <u>708,220</u>    | <u>547,521</u>    |
| <b>Cash flows from investing activities</b>                                                |                   |                   |
| Purchases of property and equipment                                                        | (426,230)         | (464,284)         |
| Advance to third party for design and build of equipment                                   | -                 | (84,675)          |
| Proceeds from sales of property and equipment                                              | 26,157            | 94,570            |
| Proceeds from assets held for sale                                                         | -                 | 225,350           |
| Loan associated with assets held for sale                                                  | -                 | (6,000)           |
| Contributions to joint ventures                                                            | (55,839)          | (48,538)          |
| Sales of investment securities                                                             | 2,676,400         | 2,493,209         |
| Purchases of investment securities                                                         | (2,968,760)       | (2,435,732)       |
| Net cash used in investing activities                                                      | <u>(748,272)</u>  | <u>(226,100)</u>  |
| <b>Cash flows from financing activities</b>                                                |                   |                   |
| Repayment on long-term debt and finance lease obligations                                  | (81,986)          | (174,012)         |
| Proceeds from borrowings                                                                   | 1,658             | 11,177            |
| Contributions from (distributions to) noncontrolling interests                             | 7,168             | (33,282)          |
| Restricted contributions for capital acquisitions                                          | 29,237            | 16,443            |
| Net cash used in financing activities                                                      | <u>(43,923)</u>   | <u>(179,674)</u>  |
| Change in cash, cash equivalents and restricted cash                                       | (83,975)          | 141,747           |
| <b>Cash, cash equivalents and restricted cash</b>                                          |                   |                   |
| Beginning of year                                                                          | <u>558,496</u>    | <u>416,749</u>    |
| End of year                                                                                | <u>\$ 474,521</u> | <u>\$ 558,496</u> |
| <b>Supplemental information</b>                                                            |                   |                   |
| Cash paid for interest expense                                                             | \$ 100,867        | \$ 104,569        |
| Liabilities assumed by buyer in LTC Portfolio sale                                         | -                 | 40,356            |
| Noncash acquisitions of property and equipment                                             | 48,735            | 54,031            |
| Right-of-use assets obtained in exchange for operating lease obligations                   | 29,635            | 139,189           |

The accompanying notes are an integral part of these consolidated financial statements.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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*(in thousands)*

#### 1. Organization

Hackensack Meridian Health, Inc. (the “Parent”) and its subsidiaries and controlled entities (“HMH” or the “Network”) comprise an integrated health care delivery system. The Network is incorporated as a New Jersey nonprofit, nonstock corporation established to promote and carry out charitable, scientific, academic and research activities and was created as a result of the merger of Hackensack University Health Network, Inc. (“HUHN”) and Meridian Health System, Inc. (“MHS”). The surviving parent entity was renamed Hackensack Meridian Health, Inc. on July 1, 2016. The Parent is the sole corporate member of the following entities: HMH Hospitals Corporation (“HMHHC”), Hackensack Meridian Ambulatory Care, Inc (“HMAC”), Hackensack Meridian Health Foundation, Inc. and its ten foundation subsidiaries (“HMHF”), Hackensack Meridian School of Medicine (“HMSOM”), and Bergen Health Management System, Inc. (“BHMS”).

During 2023, HMAC sold its long term care portfolio (“LTC portfolio”) (Note 16).

On January 4, 2022, Hackensack Meridian LTACH, LLC (“LTACH”) was formed with HMHHC as its sole member. Effective May 28, 2024, the approval of long-term acute care hospital status was received from Centers for Medicare and Medicaid Services.

Effective February 3, 2021, Meridian Health Foundation, Inc. was renamed to Hackensack Meridian Health Foundation, Inc., and the membership of three foundations (Hackensack University Medical Center Foundation, Inc., Palisades Medical Center Foundation, Inc., and John F. Kennedy Medical Center Foundation, Inc.), were then transferred to HMHF so that HMHF became the parent company to all existing Foundations, with the exception of Muhlenberg Foundation, Inc. (“MRMCF”) which remained a subsidiary of Muhlenberg Regional Medical Center, Inc. (“MRMC”). On January 1, 2024, MRMC merged into HMAC and MRMCF changed its sole member to HMHF.

The Parent was also the sole shareholder of Hackensack Meridian Health Ventures, Inc. and its subsidiaries (“HMHV”). On January 1, 2022, the shares in HMHV were transferred from the Parent to HMAC. The Parent is the sole member of Meridian Accountable Care Organization, LLC (“MACO”), Hackensack Physician-Hospital Alliance ACO, LLC (“ACO”), JFK Population Health Company, LLC (“JFKPH”), and Hackensack Meridian Health Partners, LLC (“HMHP”). On January 1, 2023, the memberships in MACO, ACO and JFKPH were transferred from the Parent to HMHP.

HMHHC is the sole corporate member of HMH Casualty Company Ltd. (“HMHCCCL”), and 20 Prospect Holdings, LLC. HMHCCCL is a wholly owned, off-shore insurance company domiciled in Bermuda.

The HMH Physician Division includes ten professional corporations (three taxable and seven tax exempt) consolidated with the Network and provides other physician practice development strategies.

# **Hackensack Meridian Health, Inc.**

## **Notes to Consolidated Financial Statements**

### **December 31, 2024 and 2023**

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*(in thousands)*

The Network operates an extensive acute care hospital system which consists of four academic medical centers (which include two children's hospitals and a cancer center), six community hospitals (which include two rehabilitation hospitals), a behavioral health hospital, and a long-term acute care hospital as follows:

- Hackensack University Medical Center ("HUMC"), located in Hackensack, New Jersey, is an academic medical center and the largest stand-alone medical center in the state with 803 beds. HUMC includes the Joseph M. Sanzari Children's Hospital, the Donna A. Sanzari Women's Hospital, the John Theurer Cancer Center, and the Heart and Vascular Hospital;
- Jersey Shore University Medical Center ("JSUMC"), located in Neptune, New Jersey, is a major academic medical center and regional trauma center with 612 beds that includes the K. Hovnanian Children's Hospital;
- JFK University Medical Center ("JFKUMC"), located in Edison, New Jersey, is a 499-bed academic medical center;
- Riverview Medical Center ("RMC"), located in Red Bank, New Jersey, is a 429-bed community hospital;
- Raritan Bay Medical Center ("RBMC"), located in Perth Amboy, New Jersey, is a 402-bed community hospital;
- Ocean University Medical Center ("OUMC"), located in Brick, New Jersey, is a 357-bed academic medical center;
- Carrier, located in Belle Mead, New Jersey is a 297-bed behavioral health hospital that includes Blake Recovery Center;
- Bayshore Medical Center ("BMC"), located in Holmdel, New Jersey, is a 211-bed community hospital;
- Palisades Medical Center ("PMC"), located in North Bergen, New Jersey, is a 197-bed community hospital;
- Southern Ocean Medical Center ("SOMC"), located in Manahawkin, New Jersey, is a 156-bed community hospital;
- Old Bridge Medical Center ("OBMC"), located in Old Bridge, New Jersey, is a 113-bed community hospital; and
- LTACH, located in Perth Amboy, New Jersey, is a 30-bed long-term acute care hospital.

The HMSOM was formed in 2015 as the first new private school of medicine in New Jersey in over fifty years. In conjunction with the formation of the HMSOM, the Network through its real estate holding company, Kingsland Street Urban Renewal, LLC, entered into a long-term lease for two buildings in the town of Nutley and the city of Clifton, New Jersey. On July 3, 2020, the HMSOM received accreditation to operate as a school of medicine.

# **Hackensack Meridian Health, Inc.**

## **Notes to Consolidated Financial Statements**

### **December 31, 2024 and 2023**

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*(in thousands)*

Over the past several years, HMH has continued to expand its network through acquisitions and partnerships with various unrelated entities as a means to continue to fulfill its mission to the surrounding communities that HMH serves.

Joint ventures in which the Network exerts significant influence in the operations of the unconsolidated entities, primarily through shared representation on the governing bodies of the investee and equal voting rights and has an equity interest of more than 20% but equal to or less than 50%, are accounted for under the equity method of accounting. Income from joint ventures is reflected in the net gain (loss) on equity investments in the consolidated statements of operations.

During 2012, HUMC entered into two separate joint ventures with an unrelated entity. Under the first joint venture arrangement, entered into on March 23, 2012, HUMC contributed the existing property and equipment of the former Pascack Valley Hospital campus for a 35% interest in the joint venture which was valued at \$51,100. The joint venture owns 100% of Pascack Valley Medical Center ("Pascack Valley"). The investment in the Pascack Valley joint venture recorded on the consolidated balance sheets was \$41,508 and \$39,924 as of December 31, 2024 and 2023, respectively.

Under the second joint venture, entered into on July 1, 2012, HUMC purchased a 20% ownership interest in the joint venture which owns 100% of Mountainside Medical Center ("Mountainside"). For its ownership interest, HUMC contributed \$10,644 in cash and entered into a nonrecourse loan agreement with its joint venture partner. In July 2016, HUMC entered into a bank loan and used the proceeds to pay off the remaining outstanding balance on the nonrecourse loan and its accrued interest. The investment in the Mountainside joint venture recorded on the consolidated balance sheets was \$51,620 and \$48,785 as of December 31, 2024 and 2023, respectively.

During 2021, the Network contributed 100% of its membership in a billing company in exchange for shares in a new billing company. The Network previously held 20% of the legacy billing company shares. As of December 31, 2024, the Network owns 9.6% of the new billing company shares. The investment in the billing company joint venture recorded on the consolidated balance sheets was \$79,000 and \$19,391 as of December 31, 2024 and 2023, respectively.

As of December 31, 2023, Hackensack Meridian Ambulatory Ventures, Inc. ("HMAV") had a 50.1% voting rights in a joint venture which had a majority interest in two ambulatory surgical centers located in Bergen County, New Jersey. Accordingly, HMAV consolidated the joint venture and recorded a noncontrolling interest in accordance with ASC 810. As of July 1, 2024, HMAV became a minority owner in the joint venture resulting in the deconsolidation of the joint venture.

As of December 31, 2023, HMAV had a 49% voting rights in a joint venture entity which had a majority interest in three ambulatory surgical centers (the "ASC Centers") located in Barnegat, New Jersey, Edison, New Jersey, and Maywood, New Jersey. HMAV's interest in the ASC Centers was approximately 25% as of December 31, 2024.

On January 1, 2022, HMAV merged into HMAV, transferring the interest in each of these joint ventures to HMAV.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

The following schedule reconciles beginning and ending balances of the Network's controlling interest and the noncontrolling interests for the years ended December 31, 2024 and 2023:

|                                                                                | <b>The Network<br/>(Controlling<br/>Interest)</b> | <b>Noncontrolling<br/>Interests</b> | <b>Total</b>        |
|--------------------------------------------------------------------------------|---------------------------------------------------|-------------------------------------|---------------------|
| <b>Balances at December 31, 2022</b>                                           | <b>\$ 4,272,065</b>                               | <b>\$ 55,375</b>                    | <b>4,327,440</b>    |
| Excess of revenues over expenses                                               | 730,822                                           | 8,823                               | 739,645             |
| Distributions to noncontrolling interests                                      | -                                                 | (33,282)                            | (33,282)            |
| Other changes                                                                  | 113,931                                           | (9,199)                             | 104,732             |
| Change in net assets without donor restrictions before discontinued operations | 844,753                                           | (33,658)                            | 811,095             |
| Gain (loss) on discontinued operations                                         | 51,902                                            | (647)                               | 51,255              |
| <b>Balances at December 31, 2023</b>                                           | <b>5,168,720</b>                                  | <b>21,070</b>                       | <b>5,189,790</b>    |
| Excess of revenues over expenses                                               | 981,257                                           | (9,076)                             | 972,181             |
| Contributions from noncontrolling interests                                    | -                                                 | 7,168                               | 7,168               |
| Other changes                                                                  | 105,467                                           | (21,751)                            | 83,716              |
| Change in net assets without donor restrictions before discontinued operations | 1,086,724                                         | (23,659)                            | 1,063,065           |
| <b>Balances at December 31, 2024</b>                                           | <b>\$ 6,255,444</b>                               | <b>\$ (2,589)</b>                   | <b>\$ 6,252,855</b> |

## 2. COVID-19 Government Funding

### Federal Emergency Management Agency ("FEMA")

Due to the related operating and capital expenses incurred by the Network in response to COVID-19, the Network has submitted claims to FEMA. During 2024 and 2023, the Network has recorded the following obligated FEMA funds in the consolidated statements of operations:

|               | <b>2024</b>      | <b>2023</b>       |
|---------------|------------------|-------------------|
| Other revenue | \$ 88,476        | \$ 104,755        |
| Other changes | -                | 17                |
|               | <b>\$ 88,476</b> | <b>\$ 104,772</b> |

All expected FEMA claims related to COVID-19 operating and capital expenses incurred were obligated as of December 31, 2024. In accordance with accounting principles generally accepted in the United States of America ("GAAP"), the Network recognized the claims in the year the related funds were obligated by FEMA. Net receivables related to FEMA in the amount of \$98,786 and \$34,877 as of December 31, 2024 and 2023, respectively, are included in other current assets on the consolidated balance sheets.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

*(in thousands)*

Specific to FEMA funds received, HMH believes the amount of revenue recognized in the consolidated statements of operations is appropriate based on information contained in laws and regulations and FEMA policies governing the funding, which were publicly available at December 31, 2024. The potential financial impact of future changes in guidance and new legislation may impact the Network's ability to retain some or all of the distributions received.

#### **Employee Retention Credit**

The Employee Retention Credit ("ERC") is a provision under the Coronavirus Aid, Relief, and Economic Security Act, ("CARES Act") that provides eligible employers with a refundable tax credit against certain employment taxes. It was intended to encourage employers to retain employees during the economic challenges posed by the COVID-19 pandemic.

During the years ended December 31, 2024 and 2023, the Network recognized \$70,984 and \$26,800, respectively, of ERC benefits as other revenue in the consolidated statements of operations. Receivables related to the ERC in the amount of \$99,148 and \$26,878 as of December 31, 2024 and 2023, respectively, are included in other current assets on the consolidated balance sheets.

The Network submitted amended payroll tax returns for the calendar years 2020 and 2021.

### **3. Significant Accounting Policies**

The following is a summary of the Network's significant accounting policies:

#### **Principles of Consolidation**

The consolidated financial statements of the Network have, in all material respects, been prepared on an accrual basis in accordance GAAP.

The consolidated financial statements include the accounts of the Parent and all of its subsidiaries in which a controlling interest is maintained. Intercompany balances and transactions are eliminated. Controlling interest in for-profit subsidiaries is determined by majority ownership interest. For those consolidated subsidiaries where the Network's ownership is less than 100%, the outside parties' interests are shown as net assets without donor restrictions attributable to noncontrolling interests. Investments in joint ventures over which the Network has significant influence but not a controlling interest are recognized using the equity method of accounting.

#### **Use of Estimates**

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates include implicit price concessions, the contractual discounts on accounts receivable, valuation of alternative investments, estimated amounts due to and from third-party payors, professional liability reserves and accrued pension benefit liabilities. Actual results could differ from those estimates.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

(in thousands)

#### Income Taxes

All of the not-for-profit entities included in the consolidated financial statements are corporations as described in Section 501(c)(3) of the Internal Revenue Code ("Code") and are exempt from federal income taxes on related income pursuant to Section 501(a) of the Code. These entities, except for the physician practices, are also exempt from state income taxes. Per the requirement to assess for tax uncertainty, management has determined that it does not have any significant uncertain tax positions required to be accrued or reported.

The for-profit corporations are subject to federal and state income taxes.

#### Cash, Cash Equivalents, and Restricted Cash

Cash, cash equivalents and restricted cash include investments in highly-liquid instruments with original maturities of three months or less. The Network elected to treat highly-liquid short-term investments held within assets limited as to use and investments as cash equivalents. Cash is also held in the assets limited as to use and investments portfolio. At December 31, 2024 and 2023, the Network had cash balances held at a financial institution that exceeded federal depository insurance limits. Management believes that the credit risk related to these deposits is minimal.

*ASU 2016-18, Restricted Cash*, addresses the presentation, disclosure, and cash flow classification of restricted cash and requires that the statement of cash flows explain the change during the period in the total of cash, cash equivalents, and amounts generally described as restricted cash or restricted cash equivalents.

The following is a reconciliation of cash, cash equivalents and restricted cash reported on the consolidated balance sheets that sum to the total of the same such amounts shown in the consolidated statements of cash flows.

|                                                                                                     | 2024              | 2023              |
|-----------------------------------------------------------------------------------------------------|-------------------|-------------------|
| Cash and cash equivalents                                                                           | \$ 211,572        | \$ 239,756        |
| Cash and cash equivalents included in assets limited as to use and investments                      | <u>262,949</u>    | <u>318,740</u>    |
| Total cash, cash equivalents and restricted cash shown in the consolidated statements of cash flows | <u>\$ 474,521</u> | <u>\$ 558,496</u> |

#### Assets Limited as to Use and Investments

Investments and assets limited as to use are recorded at fair value, which is based on the assumptions and methods described in the "Fair Value Measurements" section of this note.

Assets limited as to use include cash and investments set aside by the Network Board of Trustees (the "Board") for future capital improvements over which the Board retains control and may, at its discretion, subsequently use for other purposes, assets held by trustees under indenture agreements, assets held in connection with the captive insurance program, assets held for deferred employee benefit plans, and donor-restricted assets.

Investment income or losses (including realized and unrealized gains and losses on investments, interest, and dividends) are included in the accompanying consolidated statements of operations as other operating adjustments, unless the income or loss is restricted by donor or law.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

(in thousands)

In addition, certain investment income is reported within other revenue in the consolidated statements of operations as it is utilized as a direct offset for specific programmatic operating expenses. Gains and losses on sales of investment assets are determined using the first-in, first-out method. Investments classified as current assets are available to support current operations.

Investments, in general, are exposed to various risks, such as interest rate, credit, and overall market volatility. As such, it is reasonably possible that changes in the values of investments will occur in the near term and that such changes could materially affect the amounts reported in the consolidated financial statements.

#### **Financial Instruments**

The Network recognizes all derivatives at fair value within other liabilities on the consolidated balance sheets. Changes in fair value of these instruments are reported within other operating adjustments on the consolidated statements of operations.

#### **Fair Value Measurements**

*FASB ASC Topic 820, Fair Value Measurements and Disclosures* ("ASC Topic 820"), establishes a hierarchy of valuation inputs based on the extent to which the inputs are observable in the marketplace. Observable inputs reflect market data obtained from sources independent of the Network and unobservable inputs reflect the Network's own assumptions about how market participants would value an asset or liability based on the best information available. Valuation techniques used to measure fair value must maximize the use of observable inputs and minimize the use of unobservable inputs. The guidance describes a fair value hierarchy based on three levels of inputs, of which the first two are considered observable and the last unobservable, that may be used to measure fair value.

The following describes the hierarchy of inputs used to measure fair value and the primary valuation methodologies used by the Network for financial instruments measured at fair value on a recurring basis. The three levels of inputs are as follows:

- |         |                                                                                                                                                                                         |
|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level 1 | Quoted prices in active markets for identical assets or liabilities.                                                                                                                    |
| Level 2 | Inputs other than Level 1 that are observable, either directly or indirectly, such as quoted prices for similar assets or liabilities, or quoted prices in markets that are not active. |
| Level 3 | Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.                                         |

Assets and liabilities measured at fair value are based on one or more of three valuation techniques. The three valuation techniques are as follows:

- Market Approach (M) – Prices and other relevant information generated by market transactions involving identical or comparable assets or liabilities;
- Cost Approach (C) – Amount that would be required to replace the service capacity of an asset (i.e., replacement cost); and
- Income Approach (I) – Techniques to convert future amounts to a single present amount based on market expectations (including present value techniques, option-pricing models, and lattice models).

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

(in thousands)

A financial instrument's categorization within the valuation hierarchy is based upon the lowest level of input that is significant to the fair value measurement. Inputs are used in applying the various valuation techniques and broadly refer to the assumptions the market participants use to make valuation decisions. Inputs may include price information, credit data, liquidity statistics and other factors. The Network utilizes the best available information in measuring fair value.

The following methods and assumptions are used to estimate the fair value of each class of financial instruments held by the Network:

- Cash, Cash Equivalents, and Mutual Funds – Estimated fair values of cash equivalents and mutual funds are based on daily values (closing price on primary market) that are validated with a sufficient level of observable activity (i.e., purchases and sales).
- Corporate Equity Securities – Securities listed on national stock exchanges are valued at the last published sales price on the last business day of the year; over-the-counter securities for which no sale was reported on the last business day of the year are valued at the latest reported bid price from a published source.
- U.S. Government, Municipal, Corporate Debt, and Commercial mortgage-backed securities/asset-backed securities – Valued on the basis of the quoted market prices at year-end. If quoted market prices are not available for the investments, these investments are valued based on yields currently available on comparable securities or issuers with similar credit ratings.
- Futures – Valued on the basis of quoted market prices at year-end.
- Alternative Investments - Fair value of alternative investments are measured based on unobservable inputs that cannot be corroborated by observable market data. The Network accounts for these investments within its assets limited as to use and investments portfolios using the net asset value as a practical expedient and as such, these investments are excluded from the fair value hierarchy. The Network's alternative investments include holdings in common/collective trusts, limited partnerships and limited liability companies engaging in a variety of investment strategies. Alternative investments are valued utilizing a net asset value ("NAV") provided by the respective fund manager in accordance with *ASC Topic 820*. Such estimates do not reflect redemption fees as the Network does not intend to sell such investments before the expiration of the early redemption periods. The fair values of the securities held by limited partnerships that do not have readily determinable fair values are determined by the general partner and are based on historical cost, appraisals, or other estimates that require varying degrees of judgment. If no public market exists for the investment securities, the fair value is determined by the general partner taking into consideration, among other things, the cost of securities, prices of recent significant placements of securities of the same issuer, and subsequent developments concerning the companies to which the securities relate.

#### **Inventories and Supplies**

Inventories and supplies are stated at lower of cost (determined on an average cost basis) or net realizable value and are included in other current assets on the consolidated balance sheets. The value of inventories and supplies is \$223,267 and \$188,759 as of December 31, 2024 and 2023, respectively, and are included in other current assets on the consolidated balance sheets.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

(in thousands)

#### **Property and Equipment**

Property and equipment are recorded at cost. The Network determines depreciation using the straight-line method, over the estimated useful life of each class of depreciable asset, subject to changes in circumstances to the estimated useful life of the asset. Estimated lives range from 3 to 20 years for equipment and up to 40 years for buildings.

Finance leases are recorded at their present value at the inception of the lease. Property and equipment under finance leases is amortized on the straight-line method over the shorter period of the lease term or the estimated useful life of the equipment. Such amortization is included in depreciation and amortization in the consolidated statements of operations. Gains and losses resulting from the retirement of property and equipment are included in the results of current operations.

Gifts of long-lived assets such as property and equipment are determined at their fair value at the date of the gift and reported as an increase to net assets without donor restrictions unless explicit donor stipulations specify how the donated assets must be used. Gifts of long-lived assets with explicit restrictions that specify how the assets are to be used and gifts of cash or other assets that must be used to acquire long-lived assets are reported as restricted support. Absent explicit donor stipulations about how long those long-lived assets must be maintained, expirations of donor restrictions are reported when the donated or acquired long-lived assets are placed in service.

#### **Right-of-Use Assets and Lease Liabilities**

Under *ASU 2016-02, Leases (Topic 842)*, lessees are required to recognize the following for all leases (with the exception of leases with a term of twelve months or less) at the commencement date: (a) a lease liability, which is a lessee's obligation to make lease payments arising from a lease, measured on a discounted basis; and (b) a right-of-use asset, which is an asset that represents the lessee's right to use, or control the use of, a specified asset for the lease term. Leases are classified as either operating or finance. Operating leases result in straight-line expense in the consolidated statements of operations (similar to previous operating leases), while finance leases result in more expense being recognized in the earlier years of the lease term (similar to previous capital leases).

#### **Long-Lived Assets and Goodwill**

Long-lived assets to be held and used are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability is measured by a comparison of the carrying amount of the asset to future undiscounted net cash flows expected to be generated by the asset. If such assets are deemed to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value. Long-lived assets to be disposed of are reported at the lower of carrying amount or fair value, less cost to sell.

The Network amortizes goodwill on a straight-line basis and tests for impairment when a triggering event occurs that indicates that the fair value of the reporting unit may be below its carrying amount. For the years ended December 31, 2024 and 2023, the Network recorded \$6,779 and \$9,363, respectively, in amortization of goodwill and intangibles within depreciation and amortization in the consolidated statements of operations.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

(in thousands)

#### Deferred Financing Costs

Deferred financing costs include legal, financing, and placement fees associated with the issuance of long-term debt and are presented net of the related long-term debt issuances. These costs are amortized using the effective interest method over the period the related obligations are outstanding.

#### Professional, General and Workers Compensation Liabilities

The Network's policy is to accrue an estimate of the ultimate cost of malpractice and workers compensation claims covered through either its wholly owned captive insurance companies or insurance policies with third party insurers. These accrued liabilities are included in other liabilities on the consolidated balance sheets. The Network also records an estimate for insurance recoveries associated with these claims, which is recorded in other assets on the consolidated balance sheets.

#### Net Assets

Net assets without donor restrictions are derived from gifts that are not subject to explicit donor-imposed restrictions. Resources arising from the results of operations or assets set aside by the Board of Trustees are classified as without donor restrictions for external reporting purposes. Included in net assets without donor restrictions are board-designated endowment funds residing for HMHF and HMHC of \$89,691 and \$86,275 at December 31, 2024 and 2023, respectively. In addition, \$174,958 and \$137,905 at December 31, 2024 and 2023, respectively, are included in the net assets without donor restrictions as board-designated endowment funds for HMSOM.

Net assets with donor restrictions are those funds whose use has been limited by donors to a specified time period and/or purpose. Net assets are available for the funding of healthcare services, capital acquisitions, and other programs within the Network. Certain donor restrictions are perpetual in nature and the income from those funds is expendable to support various programs within the Network.

Net assets with donor restrictions are available for the following purposes at December 31, 2024 and 2023:

|                                          | 2024              | 2023              |
|------------------------------------------|-------------------|-------------------|
| Healthcare services                      | \$ 154,595        | \$ 142,441        |
| Investments held in perpetuity           | 84,156            | 77,737            |
| Property and equipment                   | 122,294           | 81,838            |
| Research                                 | 57,767            | 53,247            |
| Scholarships                             | 20,485            | 20,392            |
| Other                                    | 25,524            | 19,804            |
| Total net assets with donor restrictions | <u>\$ 464,821</u> | <u>\$ 395,459</u> |

Unconditional promises to give cash and other assets are reported at fair value at the date the promise is received, which is then treated as the cost basis. The gifts are reported as net assets with donor restrictions if they are received with donor stipulations that limit the use of the donated assets. When a donor restriction expires, that is, when a stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified as net assets without donor restrictions and reported in the consolidated statements of operations as net assets released from restrictions.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

(in thousands)

Net assets released from restrictions for capital acquisitions are excluded from excess of revenues over expenses within the consolidated statements of operations. Donor-restricted contributions whose restrictions are met within the same year as received are reclassified to net assets without donor restrictions and reported as net assets released from restriction.

Consistent with regulatory requirements, the respective Boards of the Foundations described in Note 1, require the preservation of the fair value of the donor-restricted endowment funds, absent explicit donor stipulations to the contrary. As a result, the Foundations classify net assets with donor restrictions as (a) the original value of gifts donated to the restricted endowment, (b) the original value of subsequent gifts to the restricted endowment, and (c) accumulations to the restricted endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund.

#### **Net Patient Service Revenue and Patient Accounts Receivable**

Net patient service revenue is reported at the amount that reflects the consideration to which the Network expects to be entitled in exchange for providing patient care. These amounts are net of appropriate discounts to give recognition to differences between the Network's charges and reimbursement rates from third party payors. The Network is reimbursed from third party payors under various methodologies based on the level of care provided. Certain net revenues received are subject to audit and retroactive adjustment for which amounts are accrued on an estimated basis in the period the related services are rendered and adjusted in future periods as final settlements are determined. The Network bills patients and third-party payors several days after the services are performed or the patient is discharged from the facility. Revenue is recognized as performance obligations are satisfied.

The Network determines performance obligations based on the nature of the services provided. The Network recognizes revenues for performance obligations satisfied over time based on actual charges incurred in relation to total expected charges. Performance obligations satisfied relate to patients registered to receive either or both an inpatient or outpatient service. For inpatient services, the Network measures performance obligations from time of admission to the point when there are no further services required for the patient, which is generally the time of discharge. For outpatient services, performance obligations are satisfied at a point in time, generally when: (1) services are provided; and (2) we do not believe the patient requires additional services.

Because the Network's patient service performance obligations relate to contracts with a duration of less than one year, the Network has elected to apply the optional exemption provided in *FASB ASC 606-10-50-14(a) Revenue from Contracts with Customers* and, therefore, is not required to disclose the aggregate amount of the transaction price allocated to performance obligations that are unsatisfied or partially unsatisfied at the end of the reporting period. The unsatisfied or partially unsatisfied performance obligations referred to above are primarily related to inpatient acute care services at the end of the reporting period. The performance obligations for these contracts are generally completed when the patients are discharged, which generally occurs within days or weeks of the end of the reporting period.

The Network determines the transaction price based on gross charges for services provided, reduced by contractual adjustments provided to third-party payors, discounts provided to uninsured patients in accordance with the Network's policy, and implicit price concessions provided to uninsured patients. The Network determines its estimates of contractual adjustments and discounts based on contractual agreements, its discount policies, and historical experience.

# **Hackensack Meridian Health, Inc.**

## **Notes to Consolidated Financial Statements**

### **December 31, 2024 and 2023**

---

*(in thousands)*

The Network determines its estimate of implicit price concessions based on its historical collection experience with these classes of patients using a portfolio approach as a practical expedient to account for patient contracts as collective groups rather than individually. The financial statement effects of using this practical expedient are not materially different from an individual contract approach.

A summary of the payment arrangements with major third-party payors is as follows:

- Medicare - inpatient acute care services and most outpatient services rendered to Medicare program beneficiaries are paid at prospectively determined rates per discharge. These rates vary according to a patient classification system that is based on clinical, diagnostic and other factors. Select outpatient services are paid based on a Medicare fee-based schedule or cost-based reimbursement. The Network is reimbursed for cost reimbursable items, allowable bad debt, and graduate medical education at a tentative rate with final settlement determined after submission of annual cost reports and audits thereof by the Medicare fiscal intermediary. The classification of patients under the Medicare program and the appropriateness of their admission are subject to an independent review by a peer review organization under contract with the Network. The Network's Medicare cost reports have been audited and finalized through December 31, 2020 except for 2010 for HUMC and 2020 for RMC. HUMC and JFKUMC have been audited and finalized by the Medicare fiscal intermediary through December 31, 2021.
- Medicaid - inpatient acute care services rendered to Medicaid program beneficiaries are reimbursed under a prospective methodology in accordance with N.J.A.C. 10:52 sub-chapter 14. Outpatient services are paid based upon a cost reimbursement methodology and certain services are paid based on a Medicaid fee schedule. The Network's Medicaid cost reports have been audited and finalized by the Medicaid fiscal intermediary for all through December 31, 2021 except for 2007 through 2009 for HUMC. SOMC has been audited and finalized by the Medicaid fiscal intermediary through December 31, 2022.
- The Network has also entered into payment agreements with certain commercial insurance carriers, health maintenance organizations and preferred provider organizations. The basis for payment under these agreements includes prospectively determined rates per patient day, per case or procedure and discounts from established charges.

Generally, patients who are covered by third-party payors are responsible for related co-pays, co-insurance and deductibles, which vary in amount. The Network provides services to uninsured patients and offers uninsured patients a discount from standard charges. The Network estimates the transaction price for patients with co-pays, co-insurance and deductibles and for those who are uninsured based on historical collection experience and current market conditions. Under the Network's uninsured discount programs, the discount offered to certain uninsured patients is recognized as a contractual discount, which reduces net operating revenues at the time the self-pay accounts are recorded. The uninsured patient accounts, net of contractual discounts recorded, are further reduced to their net realizable value at the time they are recorded through implicit price concessions based on historical collection trends for self-pay accounts and other factors that affect the estimation process. Subsequent changes to the estimate of the transaction price are generally recorded as adjustments to net patient service revenues in the period of the change. The net amounts recorded, related to prior years and changes in estimates did not have a significant impact on the performance indicator for either of the years ended December 31, 2024 or 2023.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

For the years ended December 31, 2024 and 2023, the Network recorded \$418,698 and \$359,821 of implicit price concessions as a direct reduction of net patient service revenues.

The components of net patient service revenue for the years ended December 31, 2024 and 2023 are as follows:

|                                                                | 2024                | 2023                |
|----------------------------------------------------------------|---------------------|---------------------|
| Gross charges                                                  | \$ 32,026,527       | \$ 27,656,421       |
| Contractual discounts and implicit price concessions           | (23,910,161)        | (20,525,752)        |
| Change in estimate of prior year's net patient service revenue | 51,875              | 44,078              |
| Charity care (charges) subsidy                                 | (4,212)             | 4,446               |
| Hospital relief subsidy                                        | 21,635              | 23,248              |
|                                                                | <u>\$ 8,185,664</u> | <u>\$ 7,202,441</u> |

The mix of patient service revenue, net of contractual discounts and implicit price concessions from patients and third-party payors for the years ended December 31, 2024 and 2023 is as follows:

| Net Patient Service Revenue          | 2024         | 2023         |
|--------------------------------------|--------------|--------------|
| Medicare, including Managed Medicare | 30 %         | 29 %         |
| Medicaid, including Managed Medicaid | 8            | 9            |
| NJ Blue Cross                        | 26           | 25           |
| Other third party payors             | 35           | 36           |
| Self pay                             | <u>1</u>     | <u>1</u>     |
|                                      | <u>100 %</u> | <u>100 %</u> |

Laws and regulations governing the Medicare and Medicaid programs are complex and subject to interpretation for which action for noncompliance includes fines, penalties and exclusion from the Medicare and Medicaid programs. The Network believes that they are currently in compliance with all applicable laws and regulations. The Network has established a Corporate Compliance Program to monitor compliance with various regulations.

#### Other Revenue

The Network recognizes other revenue, which is not related to patient medical care but is central to the day-to-day operations of the Network. Other revenue primarily includes grant revenue, including CARES Act and FEMA funding, tuition revenue and other support service revenue.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

---

*(in thousands)*

#### **Performance Indicator**

The consolidated statements of operations include excess of revenues over expenses as the performance indicator. Changes in net assets without donor restrictions which are excluded from excess of revenues over expenses, consistent with industry practice, include gain on discontinued operations, contributions from (distributions to) noncontrolling interests, pension related adjustments, net assets released from restriction for capital acquisitions and other changes.

The Network differentiates its core operating activities through the use of excess of revenues over expenses before other operating adjustments as an intermediate measure of operations. For the purposes of display, investment income and other gains, net, which management does not consider being components of the Network's core operating activities, are reported as other operating adjustments in the consolidated statements of operations. Certain investment income is reported within other revenue in the statements of operations as it is utilized as a direct offset for specific programmatic expenses.

#### **Reclassifications**

Certain previously reported amounts in the 2023 consolidated financial statements have been reclassified in order to conform to 2024 presentation.

#### **4. Charity and Uncompensated Care**

The Network provides care to patients who meet certain criteria defined by the New Jersey Department of Health and Senior Services without charge or at amounts less than its established rates. The Network maintains records to identify and monitor the level of charity care it provides. These records include the amount of charges foregone for services and supplies furnished. The Network receives partial reimbursement for the uncompensated care provided. Of the Network's total consolidated operating expenses reported, estimated costs of \$106,885 and \$115,583 for the years ended December 31, 2024 and 2023, respectively, are attributable to providing services to charity patients. The estimated costs of providing charity services are based on a calculation which applies a ratio of cost to charges to the gross uncompensated charges associated with providing care to charity patients. The ratio of cost to charges is calculated based on the Network's total operating expenses, divided by gross patient service revenue.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

#### 5. Assets Limited as to Use and Investments

The following tables provide a summary of the Network's assets limited as to use and investments that are measured at fair value on a recurring basis at December 31, 2024 and 2023:

|                                                                    | 2024                                                                          |                                                           |                     |
|--------------------------------------------------------------------|-------------------------------------------------------------------------------|-----------------------------------------------------------|---------------------|
|                                                                    | Quoted Prices<br>In Active<br>Markets<br>for Identical<br>Assets<br>(Level 1) | Significant<br>Other<br>Observable<br>Inputs<br>(Level 2) | Total               |
| <b>Under board of trustees designation</b>                         |                                                                               |                                                           |                     |
| Cash and cash equivalents                                          | \$ 234,906                                                                    | \$ -                                                      | \$ 234,906          |
| Mutual funds                                                       | 606,541                                                                       | -                                                         | 606,541             |
| Corporate equity securities                                        | 2,407                                                                         | 79,000                                                    | 81,407              |
| Exchange traded securities                                         | 1,063,430                                                                     | -                                                         | 1,063,430           |
| Commercial mortgage-backed securities/asset-backed securities      | -                                                                             | 31,853                                                    | 31,853              |
| Corporate debt securities                                          | -                                                                             | 209,343                                                   | 209,343             |
| U.S. government obligations                                        | -                                                                             | 238,143                                                   | 238,143             |
|                                                                    | <u>1,907,284</u>                                                              | <u>558,339</u>                                            | <u>2,465,623</u>    |
| Accrued interest                                                   |                                                                               |                                                           | 21                  |
| Alternative investments: common/collective trusts                  |                                                                               |                                                           | 428,305             |
| Alternative investments: hedge funds and other private investments |                                                                               |                                                           | <u>2,446,758</u>    |
| Total under Board of Trustees designation                          |                                                                               |                                                           | <u>5,340,707</u>    |
| <b>Under donor designation</b>                                     |                                                                               |                                                           |                     |
| Cash and cash equivalents                                          | 1,791                                                                         | -                                                         | 1,791               |
| Mutual funds                                                       | <u>3,222</u>                                                                  | <u>-</u>                                                  | <u>3,222</u>        |
| Total under donor designation                                      | <u>5,013</u>                                                                  | <u>-</u>                                                  | <u>5,013</u>        |
| <b>Under bond indenture agreements held by trustee</b>             |                                                                               |                                                           |                     |
| Cash and cash equivalents                                          | <u>26,252</u>                                                                 | <u>-</u>                                                  | <u>26,252</u>       |
| Total under bond indenture agreements held by trustee              | <u>\$ 26,252</u>                                                              | <u>\$ -</u>                                               | <u>26,252</u>       |
| Total assets limited as to use and investments                     |                                                                               |                                                           | <u>\$ 5,371,972</u> |

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

|                                                                    | 2023                                                                          |                                                           |                                     |                     |
|--------------------------------------------------------------------|-------------------------------------------------------------------------------|-----------------------------------------------------------|-------------------------------------|---------------------|
|                                                                    | Quoted Prices<br>In Active<br>Markets<br>for Identical<br>Assets<br>(Level 1) | Significant<br>Other<br>Observable<br>Inputs<br>(Level 2) | Unobservable<br>Inputs<br>(Level 3) | Total               |
| <b>Under board of trustees designation</b>                         |                                                                               |                                                           |                                     |                     |
| Cash and cash equivalents                                          | \$ 271,318                                                                    | \$ -                                                      | \$ -                                | \$ 271,318          |
| Mutual funds                                                       | 765,092                                                                       | -                                                         | -                                   | 765,092             |
| Corporate equity securities                                        | 2,901                                                                         | -                                                         | 19,391                              | 22,292              |
| Exchange traded securities                                         | 798,487                                                                       | -                                                         | -                                   | 798,487             |
| Commercial mortgage-backed securities/asset-backed securities      | -                                                                             | 33,905                                                    | -                                   | 33,905              |
| Corporate debt securities                                          | -                                                                             | 211,954                                                   | -                                   | 211,954             |
| U.S. government obligations                                        | -                                                                             | 157,166                                                   | -                                   | 157,166             |
|                                                                    | <u>1,837,798</u>                                                              | <u>403,025</u>                                            | <u>19,391</u>                       | <u>2,260,214</u>    |
| Accrued interest                                                   |                                                                               |                                                           |                                     | 1,430               |
| Alternative investments: common/collective trusts                  |                                                                               |                                                           |                                     | 396,998             |
| Alternative investments: hedge funds and other private investments |                                                                               |                                                           |                                     | <u>1,942,949</u>    |
| Total under Board of Trustees designation                          |                                                                               |                                                           |                                     | <u>4,601,591</u>    |
| <b>Under donor designation</b>                                     |                                                                               |                                                           |                                     |                     |
| Cash and cash equivalents                                          | 1,552                                                                         | -                                                         | -                                   | 1,552               |
| Mutual funds                                                       | <u>2,858</u>                                                                  | <u>-</u>                                                  | <u>-</u>                            | <u>2,858</u>        |
| Total under donor designation                                      | <u>4,410</u>                                                                  | <u>-</u>                                                  | <u>-</u>                            | <u>4,410</u>        |
| <b>Under bond indenture agreements held by trustee</b>             |                                                                               |                                                           |                                     |                     |
| Cash and cash equivalents                                          | <u>45,870</u>                                                                 | <u>-</u>                                                  | <u>-</u>                            | <u>45,870</u>       |
| Total under bond indenture agreements held by trustee              | <u>\$ 45,870</u>                                                              | <u>\$ -</u>                                               | <u>\$ -</u>                         | <u>45,870</u>       |
| Total assets limited as to use and investments                     |                                                                               |                                                           |                                     | <u>\$ 4,651,871</u> |

Alternative investments are excluded from the fair value hierarchy table as they are valued using NAV as a practical expedient.

The following tables represent the Network's investments measured at NAV as a practical expedient and the respective liquidity terms as of December 31, 2024 and 2023:

|                      | 2024                               |                  |                          |
|----------------------|------------------------------------|------------------|--------------------------|
|                      | Redeemable Alternative Investments |                  |                          |
|                      | Unfunded                           |                  |                          |
| Redemption Frequency | Fair Value                         | Commitment       | Redemption Notice Period |
| Less than one month  | \$ 975,035                         | \$ -             | varies from 2 - 10 days  |
| One to three months  | 717,374                            | -                | varies from 3 - 10 days  |
| Three to six months  | 291,627                            | 22,988           | varies from 5 - 90 days  |
| Six to twelve months | 374,922                            | -                | varies from 5 - 90 days  |
| One to two years     | 204,519                            | -                | varies from 5 - 90 days  |
| Two to three years   | 43,926                             | 30,000           | varies from 5 - 90 days  |
| Three to four years  | 43,926                             | -                | varies from 5 - 90 days  |
| Illiquid             | <u>39,313</u>                      | <u>-</u>         | restricted redemption    |
|                      | <u>\$ 2,690,642</u>                | <u>\$ 52,988</u> |                          |

**Hackensack Meridian Health, Inc.**  
**Notes to Consolidated Financial Statements**  
**December 31, 2024 and 2023**

(in thousands)

| Remaining Life               | Non Redeemable<br>Alternative Investments |                        |
|------------------------------|-------------------------------------------|------------------------|
|                              | Fair Value                                | Unfunded<br>Commitment |
| Less than one year           | \$ 2,179                                  | \$ 2,116               |
| One to five years            | 9,059                                     | 1,243                  |
| Five to ten years            | 162,163                                   | 263,407                |
| Ten to fifteen years         | 11,020                                    | 29,151                 |
| Investment not yet commenced | -                                         | 56,944                 |
|                              | <u>\$ 184,421</u>                         | <u>\$ 352,861</u>      |

| 2023                 |                                    |                        |                          |
|----------------------|------------------------------------|------------------------|--------------------------|
| Redemption Frequency | Redeemable Alternative Investments |                        |                          |
|                      | Fair Value                         | Unfunded<br>Commitment | Redemption Notice Period |
| Less than one month  | \$ 914,089                         | \$ -                   | varies from 2 - 10 days  |
| One to three months  | 405,479                            | -                      | varies from 3 - 10 days  |
| Three to six months  | 344,687                            | -                      | varies from 5 - 90 days  |
| Six to twelve months | 239,742                            | -                      | varies from 5 - 90 days  |
| One to two years     | 205,487                            | 40,714                 | varies from 5 - 90 days  |
| Two to three years   | 75,767                             | 21,377                 | varies from 5 - 90 days  |
| Three to four years  | 53,634                             | 21,377                 | varies from 5 - 90 days  |
| Illiquid             | 19,792                             | -                      | restricted redemption    |
|                      | <u>\$ 2,258,677</u>                | <u>\$ 83,468</u>       |                          |

| Remaining Life               | Non Redeemable<br>Alternative Investments |                        |
|------------------------------|-------------------------------------------|------------------------|
|                              | Fair Value                                | Unfunded<br>Commitment |
| Less than one year           | \$ 3,137                                  | \$ 2,998               |
| One to five years            | 8,885                                     | 1,926                  |
| Five to ten years            | 63,721                                    | 133,131                |
| Ten to fifteen years         | 5,527                                     | 13,904                 |
| Investment not yet commenced | -                                         | 150,900                |
|                              | <u>\$ 81,270</u>                          | <u>\$ 302,859</u>      |

Investment not yet commenced balances represent commitments that were not called as of December 31, 2024 and December 31, 2023.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

Assets limited as to use and investments are reported on the consolidated balance sheets at December 31, 2024 and 2023 as follows:

|                                                              | 2024                | 2023                |
|--------------------------------------------------------------|---------------------|---------------------|
| Assets limited as to use and investments, current portion    | \$ 1,388,426        | \$ 1,186,261        |
| Assets limited as to use and investments, noncurrent portion | <u>3,983,546</u>    | <u>3,465,610</u>    |
|                                                              | <u>\$ 5,371,972</u> | <u>\$ 4,651,871</u> |

Assets under bond indenture agreements held by trustees are maintained in the following accounts at December 31, 2024 and 2023:

|                                              | 2024             | 2023             |
|----------------------------------------------|------------------|------------------|
| Debt service fund, principal                 | \$ 3             | \$ 18,061        |
| Debt service fund, interest                  | 24,940           | 26,328           |
| Debt service reserve fund                    | <u>1,309</u>     | <u>1,481</u>     |
| Total assets under bond indenture agreements | <u>\$ 26,252</u> | <u>\$ 45,870</u> |

Investment income consists of the following for the years ended December 31, 2024 and 2023:

|                                             | 2024              | 2023              |
|---------------------------------------------|-------------------|-------------------|
| Interest and dividend income                | \$ 92,038         | \$ 74,251         |
| Realized and unrealized gain on investments | 502,923           | 444,428           |
| Investment management fees and other        | <u>(6,645)</u>    | <u>(6,856)</u>    |
|                                             | <u>\$ 588,316</u> | <u>\$ 511,823</u> |

For the years ended December 31, 2024 and 2023, \$25,145 and \$11,835, respectively, of investment income is recorded in other revenue in the consolidated statements of operations.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

#### 6. Liquidity and Availability of Resources

The Network's financial assets and resources available to meet the cash needs for general expenditures within one year of the date of the consolidated balance sheets were as follows:

|                                                                              | 2024         | 2023         |
|------------------------------------------------------------------------------|--------------|--------------|
| <b>Financial assets</b>                                                      |              |              |
| Cash and cash equivalents                                                    | \$ 211,572   | \$ 239,756   |
| Patient accounts receivable, net                                             | 932,810      | 891,498      |
| Pledges receivable, net                                                      | 73,230       | 50,488       |
| Assets limited as to use and investments under board of trustees designation | 4,826,781    | 4,149,387    |
| Total financial assets available within one year                             | 6,044,393    | 5,331,129    |
| <b>Liquidity resources</b>                                                   |              |              |
| Bank lines of credit (undrawn)                                               | 483,990      | 283,990      |
| Commercial paper program (undrawn)                                           | 400,000      | -            |
| Total financial assets and resources available within one year               | \$ 6,928,383 | \$ 5,615,119 |

As part of the Network's liquidity management, it has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due. Assets limited as to use and investments in the table above are all under Board of Trustees designation. These assets could be used for general expenditures but would require approval from the Board of Trustees. These assets exclude alternative investments with lock-up provisions greater than one year of \$513,926 and \$432,813 as of December 31, 2024 and 2023, respectively (see Note 5 for disclosures about investments).

#### 7. Property and Equipment

Property and equipment, including assets held under finance lease obligations, consist of the following at December 31, 2024 and 2023:

|                                           | 2024         | 2023         |
|-------------------------------------------|--------------|--------------|
| Land                                      | \$ 131,172   | \$ 131,822   |
| Land improvements                         | 43,358       | 41,740       |
| Buildings and fixed equipment             | 3,751,500    | 3,696,780    |
| Major movable equipment                   | 2,077,397    | 1,960,183    |
|                                           | 6,003,427    | 5,830,525    |
| Accumulated depreciation and amortization | (2,672,574)  | (2,457,977)  |
| Construction-in-progress                  | 259,397      | 104,177      |
| Property and equipment, net               | \$ 3,590,250 | \$ 3,476,725 |

Depreciation expense for the years ended December 31, 2024 and 2023 was \$292,907 and \$281,805, respectively.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

#### 8. Long-Term Debt and Finance Lease Obligations

The Network has various bond issues outstanding, primarily issued through the New Jersey Health Care Facilities Financing Authority (the “Authority”), as well as various bank loans, mortgages and finance lease obligations. During 2017, the Network established one legally obligated group for certain borrowings with the Authority and other lenders. This obligated group is represented by Hackensack Meridian Health and HMHHC (“Obligated Group”). The Obligated Group is subject to the covenants of the Master Trust Indenture with the Authority.

Long-term debt and finance lease obligations consist of the following at December 31, 2024 and 2023:

|                                                                                                                                                                                                                           | 2024                | 2023                |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|---------------------|
| <b>Revenue Bonds</b>                                                                                                                                                                                                      |                     |                     |
| Series 2020, 2.675%, due September 1, 2041                                                                                                                                                                                | \$ 500,000          | \$ 500,000          |
| Series 2020, 2.875%, due September 1, 2050                                                                                                                                                                                | 500,000             | 500,000             |
| Series 2018, 4.211%, due July 1, 2048                                                                                                                                                                                     | 300,000             | 300,000             |
| Series 2017, 4.5%, due July 1, 2057                                                                                                                                                                                       | 300,000             | 300,000             |
| Series 2016A, 4.42% and 4.98% at December 31, 2024 and 2023, respectively, due June 1, 2038                                                                                                                               | 105,379             | 108,129             |
| Series 2015A, 2.5%, due November 1, 2045                                                                                                                                                                                  | 90,639              | 94,973              |
| <b>Refunding Bonds</b>                                                                                                                                                                                                    |                     |                     |
| Series 2017A, 2.5% to 5.0%, which mature annually from July 1, 2020 through July 1, 2040                                                                                                                                  | 408,270             | 426,635             |
| Series 2017A, 4.0% to 5.25%, which mature annually from July 1, 2043 through July 1, 2057                                                                                                                                 | 98,920              | 98,920              |
| Series 2013A, 2.0% and 5.0%, in varying maturities through July 1, 2032                                                                                                                                                   | -                   | 18,101              |
| <b>Bank Loans</b>                                                                                                                                                                                                         |                     |                     |
| Series 2020, 2.50%, a term of 180 months with a 15-year amortization and a fixed monthly payment of \$794; commencing April 1, 2020 and ending April 1, 2035                                                              | 177,955             | 182,892             |
| Series 2016, 2.59%, a term of 300 months with a 25-year amortization and a fixed monthly payment of \$92; commencing July 28, 2016 and ending August 1, 2041                                                              | 14,953              | 15,658              |
| Series 2015A (tax exempt), 2.38%, a term of 300 months with a 25-year amortization, and a fixed monthly payment of \$372; commencing August 12, 2015 and ending July 12, 2040 with an anticipated redemption date in 2025 | 58,258              | 61,291              |
| Series 2015B, 3.31%, a term of 120 months with a 10-year amortization, and a fixed monthly payment of \$177; commencing August 12, 2015 and ending August 1, 2025                                                         | 25,915              | 27,149              |
| Series 2022 A-1; a term of 12 years commencing April 1, 2022 and ending March 31, 2034; annual principal payments and interest at a fixed floating rate of 5.23% and 5.95% at December 31, 2024 and 2023, respectively    | 96,335              | 100,640             |
| Series 2022 A-2; a term of 5 years commencing August 1, 2022 and ending July 1, 2027; annual principal payments and interest at a fixed floating rate of 5.17% and 5.88% at December 31, 2024 and 2023, respectively      | 46,540              | 58,298              |
| <b>Other</b>                                                                                                                                                                                                              |                     |                     |
| Township of Clifton Redevelopment Area Bonds                                                                                                                                                                              | 903                 | 903                 |
| Township of Nutley Redevelopment Area Bonds                                                                                                                                                                               | 903                 | 903                 |
| Series 2019 Capital Asset Loan, 0.00% at December 31, 2024 and 2023                                                                                                                                                       | 5,786               | 9,643               |
| Various commercial mortgages with fixed interest rates ranging from 3.625% to 4.75%                                                                                                                                       | 2,386               | 2,823               |
| Other long-term borrowings                                                                                                                                                                                                | 21,888              | 24,409              |
| Total long-term debt                                                                                                                                                                                                      | <u>2,755,030</u>    | <u>2,831,367</u>    |
| <b>Finance lease obligations</b>                                                                                                                                                                                          |                     |                     |
| Lease obligations and other obligations with interest rates ranging from 4.00% to 4.07%                                                                                                                                   | 143,526             | 136,162             |
| Total finance lease obligations                                                                                                                                                                                           | <u>143,526</u>      | <u>136,162</u>      |
| Total long-term debt and finance lease obligations                                                                                                                                                                        | 2,898,556           | 2,967,529           |
| Original issue premium, net                                                                                                                                                                                               | 33,425              | 37,376              |
| Deferred financing costs, net of accumulated amortization                                                                                                                                                                 | (12,793)            | (13,436)            |
| Current portion                                                                                                                                                                                                           | <u>(145,527)</u>    | <u>(61,849)</u>     |
| Long-term debt and finance lease obligations, net of current portion                                                                                                                                                      | <u>\$ 2,773,661</u> | <u>\$ 2,929,620</u> |

During 2024, the Network fully repaid its Series 2013A Bond which would have matured in various dates through July 1, 2032.

During 2024, the Network issued commercial paper through Bank of America in the amount of \$400,000. As of December 31, 2024, no amounts were drawn on the commercial paper.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

The Network is compliant with any required covenants related to outstanding debt as of December 31, 2024 and 2023.

The future principal payments on long-term debt and payments on finance lease obligations are as follows:

|                                                               | Long-Term<br>Debt | Finance<br>Lease<br>Obligations | Total        |
|---------------------------------------------------------------|-------------------|---------------------------------|--------------|
| 2025                                                          | \$ 140,375        | \$ 8,339                        | \$ 148,714   |
| 2026                                                          | 59,829            | 8,734                           | 68,563       |
| 2027                                                          | 58,594            | 8,999                           | 67,593       |
| 2028                                                          | 44,911            | 9,283                           | 54,194       |
| 2029                                                          | 45,460            | 9,582                           | 55,042       |
| Thereafter                                                    | 2,405,861         | 136,208                         | 2,542,069    |
|                                                               | 2,755,030         | 181,145                         | 2,936,175    |
| Amounts representing interest on finance<br>lease obligations | -                 | (37,619)                        | (37,619)     |
| Total long-term debt and<br>finance lease obligations         | \$ 2,755,030      | \$ 143,526                      | \$ 2,898,556 |

## 9. Pension Plans, Postretirement Health Care and Postemployment

The Network sponsors a tax-qualified noncontributory defined benefit plan, the Consolidated Pension Plan of Hackensack Meridian Health ("Consolidated Plan"). The Consolidated Plan consists of seven legacy defined benefit plans that used to be maintained separately by BMC, Carrier, HUMC, JFK, Meridian Hospitals Corporation ("MHC"), PMC and RBMC. These plans have been merged into a single plan as of December 31, 2020.

As of December 31, 2021, the Consolidated Plan had become completely frozen to the remaining benefit accruals.

Certain participants of the legacy HUMC plan have also accrued benefits under a 457(f) deferred compensation plan ("HUMC SERP") where benefit accruals were frozen as of December 31, 2010.

Pursuant to *ASU 2018-14 Compensation-Retirement Benefits-Defined Benefit Plans*, the Network has disclosed the weighted average interest crediting rate (for JFK and MCH legacy plans) and additional information for plans with Accumulated Benefit Obligation ("ABO") or Projected Benefit Obligation ("PBO") in excess of plan assets.

**Hackensack Meridian Health, Inc.**  
**Notes to Consolidated Financial Statements**  
**December 31, 2024 and 2023**

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(in thousands)

The following table sets forth the funded status of the combined defined benefit pension plans for the years ended December 31, 2024 and 2023:

|                                                                                                                                            | 2024                | 2023                |
|--------------------------------------------------------------------------------------------------------------------------------------------|---------------------|---------------------|
| <b>Change in projected benefit obligation</b>                                                                                              |                     |                     |
| Projected benefit obligation at beginning of year                                                                                          | \$ 1,573,761        | \$ 1,567,463        |
| Interest cost                                                                                                                              | 82,705              | 83,120              |
| Actuarial (gain) loss                                                                                                                      | (19,981)            | 16,550              |
| Benefits paid                                                                                                                              | (96,458)            | (93,372)            |
| Settlements                                                                                                                                | (1,227)             | -                   |
| Net projected benefit obligation at end of year                                                                                            | <u>1,538,800</u>    | <u>1,573,761</u>    |
| <b>Change in plan assets</b>                                                                                                               |                     |                     |
| Fair value of plan assets at beginning of year                                                                                             | 1,618,096           | 1,506,683           |
| Actual return on plan assets                                                                                                               | 144,302             | 204,470             |
| Employer contributions                                                                                                                     | 1,238               | 315                 |
| Benefits paid                                                                                                                              | (96,458)            | (93,372)            |
| Settlements                                                                                                                                | (1,227)             | -                   |
| Fair value of plan assets at end of year                                                                                                   | <u>1,665,951</u>    | <u>1,618,096</u>    |
| Funded status at end of year                                                                                                               | <u>127,151</u>      | <u>44,335</u>       |
| Accumulated benefit obligation, end of year                                                                                                | <u>\$ 1,538,800</u> | <u>\$ 1,573,761</u> |
| <b>Amounts recognized in the consolidated balance sheets consist of</b>                                                                    |                     |                     |
| Current liability (included in accounts payable and accrued expenses)                                                                      | \$ 5,638            | \$ 3,765            |
| Accrued pension benefits                                                                                                                   | 7,074               | 8,785               |
| Other assets (net qualified pension assets)                                                                                                | (139,863)           | (56,885)            |
| Total accrued pension asset                                                                                                                | <u>\$ (127,151)</u> | <u>\$ (44,335)</u>  |
| <b>Amounts recognized in net assets without donor restrictions not yet captured within net periodic benefit costs consist of</b>           |                     |                     |
| Net loss                                                                                                                                   | \$ 245,722          | \$ 307,200          |
|                                                                                                                                            | <u>\$ 245,722</u>   | <u>\$ 307,200</u>   |
| <b>Amounts in net assets without donor restrictions expected to be recognized in the following fiscal year's net periodic benefit cost</b> |                     |                     |
| Net loss                                                                                                                                   | \$ 3,816            | \$ 6,281            |
|                                                                                                                                            | <u>\$ 3,816</u>     | <u>\$ 6,281</u>     |
| <b>Additional information for plans with projected benefit obligations in excess of plan assets</b>                                        |                     |                     |
| Projected benefit obligation                                                                                                               | \$ 1,538,800        | \$ 1,573,761        |
| Fair value of plan assets                                                                                                                  | 1,665,951           | 1,618,096           |

At December 31, 2024 and 2023, the respective plans utilized discount rates as described below for the determination of the benefit obligations and the net periodic benefit cost. The discount rate

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

was derived using the bond matching method and determined with an analysis of bonds available with an "AA-" or better rating rated by S&P. A hypothetical bond portfolio was constructed to match the expected monthly benefit payments under the plans.

|                                                                                 | 2024   | 2023   |
|---------------------------------------------------------------------------------|--------|--------|
| <b>Weighted-average assumptions used to determine benefit obligations</b>       |        |        |
| Discount rate                                                                   | 5.66 % | 5.46 % |
| Interest crediting rate                                                         | 4.00   | 4.00   |
| <b>Weighted average assumptions used to determine net periodic benefit cost</b> |        |        |
| Discount rate                                                                   | 5.46 % | 5.50 % |
| Expected return on plan assets                                                  | 7.01   | 6.97   |
| Rate of compensation increase                                                   | N/A    | N/A    |
| Interest crediting rate                                                         | 4.00   | 4.00   |

The net periodic benefit cost and pension-related adjustments included the following components for the years ended December 31, 2024 and 2023:

|                                                                 | 2024               | 2023                |
|-----------------------------------------------------------------|--------------------|---------------------|
| <b>Net periodic benefit cost</b>                                |                    |                     |
| Interest cost                                                   | \$ 82,705          | \$ 83,120           |
| Expected return on assets                                       | (109,476)          | (101,301)           |
| Settlement loss                                                 | 390                | -                   |
| Actuarial gain                                                  | 6,281              | 9,804               |
| Net periodic benefit cost                                       | <u>(20,100)</u>    | <u>(8,377)</u>      |
| <b>Pension-related adjustments</b>                              |                    |                     |
| Net actuarial gain                                              | <u>(61,477)</u>    | <u>(96,423)</u>     |
| Total pension-related adjustments                               | <u>(61,477)</u>    | <u>(96,423)</u>     |
| Total net periodic benefit cost and pension-related adjustments | <u>\$ (81,577)</u> | <u>\$ (104,800)</u> |

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

Pursuant to *ASU 2017-07 Compensation-Retirement Benefits*, only the service cost of the net periodic benefit cost is included in employee benefits in the consolidated statements of operations. The other components of net periodic benefit cost represent gains of \$20,100 and \$8,377 for the years ended December 31, 2024 and 2023, respectively, and are included in other gains, net in the consolidated statements of operations.

#### Funding Policy

The Network's funding policy for the Consolidated Plan is to contribute annually an amount at least as much as the minimum amount required by the Employee Retirement Income Security Act of 1974 (ERISA), plus additional amounts, which may be approved by the Board or delegated committees and management from time to time.

#### Investment Policy

The pension investment portfolio is managed by a dedicated internal investment office with oversight from the Investment Committee of the Board of Trustees. As such, the investment policy and strategy is to provide for growth of capital with a moderate level of volatility by investing in assets based on the Consolidated Plan's target allocations. The expected long-term rate of return assumption is based on forward-looking return forecasts for specific modeled asset classes. The long-term forecasts are based on an analysis of long-cycle historical data as well as the simulated future return data derived from their longer-term capital market expectations. The target allocations are expected to achieve a long-term rate of return of 6.42% for the plan.

The strategic asset allocations of the pension plan assets are as follows:

|                                    | 2024         | 2023         |
|------------------------------------|--------------|--------------|
| Public equity                      | 48 %         | 47 %         |
| Credit (including private)         | 10           | 10           |
| Real assets                        | 4            | 4            |
| Hedge funds                        | 8            | 11           |
| Treasury / investment grade credit | 29           | 27           |
| Cash                               | 1            | 1            |
|                                    | <u>100 %</u> | <u>100 %</u> |

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

#### Fair Value Measurements

The following table sets forth by level, within the fair value hierarchy, the Consolidated Plan's investments at fair value as of December 31, 2024 and 2023:

|                                                      | 2024                                                                          |                                                           | Total               |
|------------------------------------------------------|-------------------------------------------------------------------------------|-----------------------------------------------------------|---------------------|
|                                                      | Quoted Prices<br>in Active<br>Markets<br>for Identical<br>Assets<br>(Level 1) | Significant<br>Other<br>Observable<br>Inputs<br>(Level 2) |                     |
| Cash and cash equivalents                            | \$ 34,291                                                                     | \$ -                                                      | \$ 34,291           |
| Exchange traded securities                           | 253,281                                                                       | -                                                         | 253,281             |
| Corporate debt securities                            | -                                                                             | 135,305                                                   | 135,305             |
| Commercial mortgage/asset backed securities          | -                                                                             | 1,446                                                     | 1,446               |
| US Government and municipal securities               | -                                                                             | 87,873                                                    | 87,873              |
| Mutual funds                                         | 192,961                                                                       | -                                                         | 192,961             |
| Total assets at fair value                           | <u>\$ 480,533</u>                                                             | <u>\$ 224,624</u>                                         | 705,157             |
| Common collective trusts measured at net asset value |                                                                               |                                                           | 243,665             |
| Alternative investments measured at net asset value  |                                                                               |                                                           | 717,129             |
|                                                      |                                                                               |                                                           | <u>\$ 1,665,951</u> |

  

|                                                      | 2023                                                                          |                                                           | Total               |
|------------------------------------------------------|-------------------------------------------------------------------------------|-----------------------------------------------------------|---------------------|
|                                                      | Quoted Prices<br>in Active<br>Markets<br>for Identical<br>Assets<br>(Level 1) | Significant<br>Other<br>Observable<br>Inputs<br>(Level 2) |                     |
| Cash and cash equivalents                            | \$ 32,771                                                                     | \$ -                                                      | \$ 32,771           |
| Exchange traded securities                           | 206,613                                                                       | -                                                         | 206,613             |
| Corporate debt securities                            | -                                                                             | 138,874                                                   | 138,874             |
| US Government and municipal securities               | -                                                                             | 97,510                                                    | 97,510              |
| Mutual funds                                         | 220,569                                                                       | -                                                         | 220,569             |
| Total assets at fair value                           | <u>\$ 459,953</u>                                                             | <u>\$ 236,384</u>                                         | 696,337             |
| Common collective trusts measured at net asset value |                                                                               |                                                           | 286,193             |
| Alternative investments measured at net asset value  |                                                                               |                                                           | 635,566             |
|                                                      |                                                                               |                                                           | <u>\$ 1,618,096</u> |

Refer to footnote 3 for further disclosure regarding the manner in which fair value of plan assets has been determined.

Common/collective trusts and alternative investments in the Plans' investments are excluded from the fair value hierarchy table as they are valued using NAV as a practical expedient.

At December 31, 2024 and 2023, the Network's remaining outstanding funding commitments to alternative investments were \$55,700 and \$29,108, respectively.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

#### Contributions

After the use of credit balances, the Network is not required to make a contribution to the Consolidated Plan in 2024.

#### Estimated Future Benefit Payments

The following benefit payments which reflect future service as appropriate are expected to be paid:

|           | Pension<br>Benefits |
|-----------|---------------------|
| 2025      | \$ 120,326          |
| 2026      | 116,716             |
| 2027      | 118,355             |
| 2028      | 121,049             |
| 2029      | 119,263             |
| 2030–2034 | 583,982             |

#### Defined Contribution Plans

As of December 31, 2024, the Network sponsors one 401(k) savings plan where all eligible employees of the Network are contributing and receiving matching contributions. Previously, the Network team members participated in four different 401(k) savings plans, all of which were merged into other plans at various dates throughout 2023. In addition, there are two legacy frozen defined contribution plans, the Consolidated Defined Contribution Plan of HMH and the Consolidated 403(b) Plan of HMH. Total matching contributions to the defined contribution plans for the years ended December 31, 2024 and 2023 were \$96,249 and \$86,702, respectively.

#### Other Benefit Plans

Certain employees of the Network participate in various postemployment benefit plans. In connection with these plans, the Network funds the expenses as incurred.

Certain employees of the Network participate in various deferred compensation plans established pursuant to Sections 457(b) and 457(f) of the Code. For 457(b) plans, the Network deposits amounts with trustees on behalf of the participating employees. Under the terms of these plans, the Network is not responsible for investment gains or losses incurred. The assets set aside are designated for payments under the plans but may revert to the Network under certain specified circumstances. The participating employees will receive the account balance at retirement. Therefore, at December 31, 2024 and 2023, amounts on deposit with the trustees (at fair value) were equal to the liability under the 457(b) plans. For 457(f) plans, the Network funds benefit payments and expenses as incurred.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

The Network has recognized liabilities, in connection with a self-insured medical and dental plan for its employees of \$25,283 and \$19,101 at December 31, 2024 and 2023, respectively. This liability is included in accounts payable and accrued expenses on the consolidated balance sheets.

#### 10. Leases

The Network has leases primarily for real estate, including medical office buildings, corporate and other administrative offices, as well as medical and office equipment. Lease expense for operating lease payments is recognized on a straight-line basis over the term of the lease. Operating lease assets and liabilities are recognized based on the present value of lease payments over the lease term. Since the Network's leases do not have a readily determinable implicit discount rate, the Network uses its incremental borrowing rate to calculate the present value of lease payments. As a practical expedient, the Network has made an accounting policy election for all asset classes not to separate lease components from nonlease components in the event that the agreement contains both. The Network includes both the lease and nonlease components for purposes of calculating the right-of-use asset and related lease liability (if the nonlease components are fixed). For finance leases, interest expense on the lease liability is recognized using the effective interest method and amortization of the right-to-use asset is recognized on a straight-line basis over the shorter of the estimated useful life of the asset or the lease term. The Network's policy for equipment leases with future minimum lease payments totaling less than \$50 is to expense as paid as they are immaterial.

The table below presents certain information related to the lease costs for finance and operating leases:

|                                                             | 2024              | 2023             |
|-------------------------------------------------------------|-------------------|------------------|
| <b>Lease cost</b>                                           |                   |                  |
| Finance lease cost                                          |                   |                  |
| Amortization of leased assets                               | \$ 5,598          | \$ 4,772         |
| Interest on lease liabilities                               | 3,817             | 3,401            |
| Total finance lease cost                                    | <u>9,415</u>      | <u>8,173</u>     |
| Operating lease cost                                        | 45,325            | 48,559           |
| Short-term and variable lease costs, net of sublease income | 54,492            | 33,515           |
| Total operating lease cost                                  | <u>99,817</u>     | <u>82,074</u>    |
| Total lease cost                                            | <u>\$ 109,232</u> | <u>\$ 90,247</u> |

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

Supplemental consolidated balance sheet information related to operating and finance leases at December 31, 2024 and 2023 is as follows:

| Classification on the Consolidated Balance Sheet |                                                                       | 2024              | 2023              |
|--------------------------------------------------|-----------------------------------------------------------------------|-------------------|-------------------|
| <b>Assets</b>                                    |                                                                       |                   |                   |
| Operating lease assets                           | Operating lease right-of-use assets                                   | \$ 321,456        | \$ 351,619        |
| Finance lease assets                             | Property and equipment, net                                           | 92,125            | 85,901            |
| Total lease assets                               |                                                                       | <u>\$ 413,581</u> | <u>\$ 437,520</u> |
| <b>Liabilities</b>                               |                                                                       |                   |                   |
| Current                                          |                                                                       |                   |                   |
| Operating                                        | Current portion of operating lease obligations                        | \$ 67,174         | \$ 41,674         |
| Finance                                          | Current maturities of long-term debt and finance lease obligations    | 5,151             | 4,353             |
| Noncurrent                                       |                                                                       |                   |                   |
| Operating                                        | Long-term operating lease obligations                                 | 279,258           | 320,815           |
| Finance                                          | Long-term debt and finance lease obligations, less current maturities | 138,375           | 131,809           |
| Total lease liabilities                          |                                                                       | <u>\$ 489,958</u> | <u>\$ 498,651</u> |
| Weighted-average remaining lease term (in years) |                                                                       |                   |                   |
| Operating leases                                 |                                                                       | 14                | 14                |
| Finance leases                                   |                                                                       | 16                | 18                |
| Weighted-average discount rate                   |                                                                       |                   |                   |
| Operating leases                                 |                                                                       | 4.36 %            | 4.15 %            |
| Finance leases                                   |                                                                       | 4.15              | 4.07              |

The table below presents supplemental cash flow information related to leases:

|                                                                               | 2024      | 2023      |
|-------------------------------------------------------------------------------|-----------|-----------|
| <b>Cash paid for amounts included in the measurement of lease liabilities</b> |           |           |
| Operating cash flows for operating leases                                     | \$ 59,384 | \$ 53,160 |
| Operating cash flows for finance leases                                       | 7,989     | 7,175     |

Future minimum lease payments under operating leases at December 31, 2024 is as follows:

|                              |                   |
|------------------------------|-------------------|
| 2025                         | \$ 79,911         |
| 2026                         | 48,402            |
| 2027                         | 44,372            |
| 2028                         | 35,798            |
| 2029                         | 29,799            |
| Thereafter                   | <u>222,181</u>    |
| Total minimum lease payments | 460,463           |
| Less: Imputed interest       | <u>(114,031)</u>  |
| Total lease liabilities      | <u>\$ 346,432</u> |

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

(in thousands)

#### 11. Functional Expenses

The Network provides general health care services and programs. Expenses that can be identified with a specific program are charged directly. Other expenses that are common to program and management services are allocated by various statistical bases.

Expenses related to providing these services consist of the following:

|                                      | 2024                |                        |                     | 2023                |                        |                     |
|--------------------------------------|---------------------|------------------------|---------------------|---------------------|------------------------|---------------------|
|                                      | Program<br>Services | Management<br>Services | Total               | Program<br>Services | Management<br>Services | Total               |
| Salaries and contracted labor        | \$ 2,295,562        | \$ 871,494             | \$ 3,167,056        | \$ 2,148,431        | \$ 782,911             | \$ 2,931,342        |
| Physician salaries and fees          | 722,876             | 79,229                 | 802,105             | 567,523             | 83,097                 | 650,620             |
| Employee benefits                    | 522,700             | 234,020                | 756,720             | 471,181             | 191,526                | 662,707             |
| Supplies and other                   | 2,459,251           | 937,218                | 3,396,469           | 2,008,422           | 938,835                | 2,947,257           |
| Depreciation and amortization        | 225,220             | 80,309                 | 305,529             | 196,946             | 99,264                 | 296,210             |
| Interest                             | 74,545              | 26,583                 | 101,128             | 68,625              | 37,220                 | 105,845             |
| Total expenses                       | 6,300,154           | 2,228,853              | 8,529,007           | 5,461,128           | 2,132,853              | 7,593,981           |
| Other components of net benefit cost | (20,100)            | -                      | (20,100)            | (8,377)             | -                      | (8,377)             |
|                                      | <u>\$ 6,280,054</u> | <u>\$ 2,228,853</u>    | <u>\$ 8,508,907</u> | <u>\$ 5,452,751</u> | <u>\$ 2,132,853</u>    | <u>\$ 7,585,604</u> |

#### 12. Commitments and Contingencies

##### Lines of Credit

The Network had available lines of credit totaling \$500,000 and \$300,000 at December 31, 2024 and 2023, respectively. The Network had standby letters of credit totaling \$16,010 at December 31, 2024 and 2023, ear-marked against these lines as collateral for certain insurance policies at HMHHC. As of December 31, 2024 and 2023, \$483,990 and \$283,990, respectively, were available for cash demands. The initial establishment of lines of credit require Board of Trustee approvals.

##### Litigation

Various suits, investigations and claims arising in the normal course of operations are pending or are on appeal against the Network. Such suits and claims are either specifically covered by insurance or are not material. While the outcome of these suits cannot be determined with certainty at this time, management believes that any loss which may arise from those suits and claims will not have a material adverse effect on the consolidated balance sheets or consolidated results of operations of the Network.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

#### 13. Professional and General Liability Insurance

The Network maintains alternative risk finance programs for its facilities via wholly owned Bermuda domiciled captive insurance companies. Additionally, certain risks are covered through third party insurance policies.

The Network's consolidated balance sheets include the following estimated liabilities included in other liabilities for hospital professional liability ("HPL"), employed (physician) provider professional liability ("EPPL") general liability ("GL") and workers compensation ("WC"):

| Type of Coverage                | Nature of Claims     | 2024              | 2023              |
|---------------------------------|----------------------|-------------------|-------------------|
| HMHCCL insurance liabilities    | HPL, GL, EPPL and WC | \$ 129,565        | \$ 130,749        |
| Third party insured liabilities | WC                   | 6,186             | 9,279             |
| Incurred but not reported       | HPL, GL and WC       | 92,847            | 86,753            |
|                                 |                      | <u>\$ 228,598</u> | <u>\$ 226,781</u> |

Additionally, the Network has recorded estimated insurance recoveries totaling \$23,111 and \$18,634 at December 31, 2024 and 2023, which is included in other assets on the consolidated balance sheets, respectively. The total represents estimated recoveries from the captives' reinsurance policies as well as third party insurance policies.

#### Captive Insurance Companies

As of January 1, 2021, HMHCCL provided funding for HPL and GL exposures of \$4,000 for each incident for the Network. The HPL coverage on this program responds to claims and suits on a claims-made basis and the GL responds to claims and suits on an occurrence basis.

#### Reinsurance and Excess Coverage

For the years ended December 31, 2024 and 2023, HMHCCL purchased annual reinsurance policies in the amount of \$100,000, per claim subject to an annual aggregate of \$100,000, in excess of HMHCCL's primary and first excess layer.

#### Self-Insured Workers Compensation

The Network maintained a self-insured workers compensation program for the years ended December 31, 2024 and 2023. The Network has recorded an estimated liability for claims incurred but not yet reported on the consolidated balance sheets as of December 31, 2024 and 2023 of \$46,224 and \$42,961, respectively. Excess workers compensation coverage is purchased in the commercial marketplace in excess of \$750 per claim. In addition, the captive excess coverage includes excess employers' liability insurance over and above that provided under the excess workers compensation coverage.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

#### 14. Concentration of Credit Risk

The Network grants credit without collateral to its patients, most of whom are local residents and are insured under third party payor agreements.

Concentrations of net accounts receivable from patients and third party payors were as follows:

|                             | 2024         | 2023         |
|-----------------------------|--------------|--------------|
| Medicare and Medicaid       | 35 %         | 37 %         |
| Managed Care and Commercial | 53           | 50           |
| Other third party payors    | 12           | 13           |
|                             | <u>100 %</u> | <u>100 %</u> |

#### 15. Energy-as-a-Service Transaction

During 2023, the Network entered into an energy-as-a-service agreement in which an unrelated third party purchased the rights to operate the Network's chilled water infrastructure and utilize any excess chilled water capacity generated at HUMC over a 30-year contract period. In consideration for these rights, the Network received \$84,675 in November 2023 which has been recorded as a contract liability in other liabilities and will be amortized on a straight-line basis over the contract period. The Network recorded \$2,823 and \$235 of other revenue to amortize the liability in the consolidated statements of operations for the years ended December 31, 2024 and December 31, 2023, respectively. The Network recorded \$81,617 and \$84,440 as the remaining contract liability in other liabilities on the consolidated balance sheets at December 31, 2024 and December 31, 2023, respectively.

In addition, the Network entered into a separate 30-year agreement with the same third party to build and operate solar arrays and battery storage ("clean energy equipment") at the Network's hospital sites. The total project cost is anticipated to be \$134,287, of which the Network advanced \$84,675 to the third party in November 2023 for the design and build of the clean energy equipment, anticipated to be completed over the next three years. The Network has recorded this advance within other assets on the consolidated balance sheet and has reclassified the asset to property and equipment as the assets are placed in service. The total project cost is expected to be supplemented by direct Federal investment tax credits provided under the Inflation Reduction Act of 2022 for which the Network will submit claims as the assets are placed in service.

The third party also guaranteed a reduction in the Network's energy consumption and, as such, provided the Network with a financial guarantee ranging from \$12,000 to \$17,000 annually throughout the term of the agreement. These annual expense reductions are anticipated to be offset by certain costs the Network will incur each year for operational management services performed by the third party over the clean energy equipment, the chilled water equipment and combined heat and power equipment at three of the Network's hospital sites. The Network recorded \$3,170 and \$264 of expense reduction in the consolidated statements of operations for the years ended December 31, 2024 and December 31, 2023, respectively.

# Hackensack Meridian Health, Inc.

## Notes to Consolidated Financial Statements

### December 31, 2024 and 2023

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(in thousands)

#### 16. Discontinued Operations

During 2021, the Network entered into a Purchase and Sale agreement and letters of intent relating to the sale of its nursing homes and assisted living facilities included within HMA. During 2023, the sale transactions were completed. There are various forms of continuing involvement for preferred provider relationships and pharmacy services.

The LTC portfolio sale included the following entities that were 100% wholly owned by the Network: Meridian Nursing and Rehabilitation at Brick, Meridian Nursing and Rehabilitation at Ocean Grove, Meridian Nursing and Rehabilitation at Shrewsbury, Meridian Subacute Rehabilitation, Bayshore Health Care Center, The Harborage, JFK at Cedar Brook, JFK Hartwyck at Oak Tree, Regent Care Center, The Willows at Holmdel, and JFK at Whispering Knoll. LTC portfolio closed on March 16, 2023 with the exception of Oak Tree which closed on March 31, 2023. The sale price related to the sale of the LTC portfolio was \$220,835. The Network repaid its outstanding \$100,000 balance on the line of credit with these proceeds on March 17, 2023.

The sale of Prospect Heights Care Center and West Caldwell Care Center ("JV Facilities"), of which the Network had 51% ownership, closed on September 28, 2023 and November 3, 2023, respectively. The sale price related to the JV facilities was \$65,464.

The gain on sale of the LTC portfolio and JV Facilities of \$95,119 is included in gain on discontinued operations in the consolidated statements of operations.

The two disposal groups shared incurred losses from operations for the year ended December 31, 2023. The loss is included in gain on discontinued operations in the consolidated statements of operations of \$51,255. The sales result in the elimination of substantially all ownership in nursing homes and assisted living facilities.

The following table sets forth the components of discontinued operations:

|                                               | 2023             |
|-----------------------------------------------|------------------|
| Net patient service revenue                   | \$ 52,376        |
| Other revenue                                 | 99,604           |
| Total unrestricted revenues and other support | <u>151,980</u>   |
| Salaries and contracted labor                 | 50,519           |
| Employee benefits                             | 8,437            |
| Supplies and other expenses                   | 40,225           |
| Interest                                      | 1,544            |
| Total expenses                                | <u>100,725</u>   |
| Gain on discontinued operations               | <u>\$ 51,255</u> |

**Hackensack Meridian Health, Inc.**  
**Notes to Consolidated Financial Statements**  
**December 31, 2024 and 2023**

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*(in thousands)*

Cash flow activities from discontinued operations include:

|                                         |    | <b>2023</b> |
|-----------------------------------------|----|-------------|
| Gain on sale of discontinued operations | \$ | 95,119      |
| Capital expenditures                    |    | 280         |
| Repayment on long-term debt             |    | 273         |

**17. Subsequent Events**

The Network performed an evaluation of subsequent events through April 1, 2025, which is the date the consolidated financial statements are issued. There were no such events that require adjustments or disclosure in the notes to the consolidated financial statements.

## **Consolidating Supplemental Schedules**

# Hackensack Meridian Health, Inc.

## Consolidating Balance Sheet

### December 31, 2024

(in thousands)

|                                                                       | Hackensack Meridian Health Inc. | HMH Hospitals Corporation Excluding Carrier Behavioral Health | HMH & HMH Hospitals Corporation (Obligated Group) Subtotal | HMH Physician Division | HMH Carrier Behavioral Health (HMH Hospitals Corporation) | Hackensack Meridian Health Foundations | Hackensack Meridian Ambulatory Care, Inc. |                    |                                  |                                    |                          | Hackensack Meridian School of Medicine | Other Affiliates | Total Before Eliminations | Eliminations | Total         |
|-----------------------------------------------------------------------|---------------------------------|---------------------------------------------------------------|------------------------------------------------------------|------------------------|-----------------------------------------------------------|----------------------------------------|-------------------------------------------|--------------------|----------------------------------|------------------------------------|--------------------------|----------------------------------------|------------------|---------------------------|--------------|---------------|
|                                                                       |                                 |                                                               |                                                            |                        |                                                           |                                        | Realty Corporation & Subsidiaries         | Home Care Division | Long-Term Care & Other Divisions | Health Ventures, Inc. & Subsidiary | Ambulatory Ventures Inc. |                                        |                  |                           |              |               |
| <b>Assets</b>                                                         |                                 |                                                               |                                                            |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |               |
| Current assets                                                        |                                 |                                                               |                                                            |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |               |
| Cash and cash equivalents                                             | \$ 184,787                      | \$ 2,122                                                      | \$ 186,909                                                 | \$ 7,853               | \$ 552                                                    | \$ 1,360                               | \$ -                                      | \$ -               | \$ 4,028                         | \$ 4,001                           | \$ 1,508                 | \$ 4,545                               | \$ 816           | \$ 211,572                | \$ -         | \$ 211,572    |
| Patient accounts receivable, net                                      | -                               | 838,703                                                       | 838,703                                                    | 58,401                 | 11,853                                                    | -                                      | -                                         | 16,200             | 4,444                            | 1,511                              | 1,671                    | -                                      | 27               | 932,810                   | -            | 932,810       |
| Pledges receivable, net                                               | -                               | -                                                             | -                                                          | -                      | -                                                         | 73,230                                 | -                                         | -                  | -                                | -                                  | -                        | -                                      | -                | 73,230                    | -            | 73,230        |
| Due from affiliates                                                   | 72,921                          | 5,460                                                         | 78,381                                                     | (330)                  | -                                                         | 308,781                                | -                                         | -                  | -                                | 1,811                              | 19                       | 417                                    | 452              | 389,531                   | (389,531)    | -             |
| Other current assets                                                  | 212,049                         | 510,991                                                       | 723,040                                                    | 13,700                 | 1,241                                                     | 160                                    | 1,191                                     | 1,348              | 21,775                           | 26,050                             | 6,298                    | 25,170                                 | 36,118           | 856,091                   | (76)         | 856,015       |
| Assets limited as to use and investments, current portion             | 1,223,191                       | -                                                             | 1,223,191                                                  | -                      | -                                                         | 3,473                                  | -                                         | -                  | 1,389                            | -                                  | -                        | -                                      | 160,373          | 1,388,426                 | -            | 1,388,426     |
| Total current assets                                                  | 1,692,948                       | 1,357,276                                                     | 3,050,224                                                  | 79,624                 | 13,646                                                    | 387,004                                | 1,191                                     | 17,548             | 31,636                           | 33,373                             | 9,496                    | 30,132                                 | 197,786          | 3,851,660                 | (389,607)    | 3,462,053     |
| Assets limited as to use and investments, noncurrent portion          | 3,100,610                       | 639,164                                                       | 3,739,774                                                  | 78,906                 | 28,752                                                    | 2,783                                  | -                                         | 69,140             | 28                               | -                                  | -                        | 62,927                                 | 1,236            | 3,983,546                 | -            | 3,983,546     |
| Investment in joint ventures                                          | 47,700                          | 99,381                                                        | 147,081                                                    | -                      | -                                                         | -                                      | 2,221                                     | 5,881              | (6,955)                          | 3,541                              | 51,051                   | -                                      | 122              | 202,942                   | (4,211)      | 198,731       |
| Property and equipment, net                                           | 19,108                          | 3,065,341                                                     | 3,084,449                                                  | 17,066                 | 42,811                                                    | 1,010                                  | 199,021                                   | 1,265              | 12,257                           | 23,030                             | 13,112                   | 13,821                                 | 182,408          | 3,590,250                 | -            | 3,590,250     |
| Operating lease right-of-use assets                                   | -                               | 29,983                                                        | 29,983                                                     | 835                    | -                                                         | -                                      | 249,521                                   | -                  | 8,436                            | 39                                 | 32,642                   | -                                      | -                | 321,456                   | -            | 321,456       |
| Other assets                                                          | 166,930                         | 533,487                                                       | 700,417                                                    | 18                     | 472                                                       | 96,288                                 | 1,255                                     | 3,910              | 7,132                            | 1,629                              | -                        | 12,031                                 | 26,984           | 850,136                   | (457,058)    | 393,078       |
| Due from affiliates                                                   | -                               | -                                                             | -                                                          | -                      | -                                                         | -                                      | -                                         | -                  | -                                | -                                  | -                        | -                                      | -                | -                         | -            | -             |
| Total assets                                                          | \$ 5,027,296                    | \$ 5,724,632                                                  | \$ 10,751,928                                              | \$ 176,449             | \$ 85,681                                                 | \$ 487,085                             | \$ 453,209                                | \$ 97,744          | \$ 52,534                        | \$ 61,612                          | \$ 106,301               | \$ 118,911                             | \$ 408,536       | \$ 12,799,990             | \$ (850,876) | \$ 11,949,114 |
| <b>Liabilities and Net Assets</b>                                     |                                 |                                                               |                                                            |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |               |
| Current liabilities                                                   |                                 |                                                               |                                                            |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |               |
| Current maturities of long-term debt and capital lease obligations    | \$ 138,215                      | \$ -                                                          | \$ 138,215                                                 | \$ 1,658               | \$ -                                                      | \$ -                                   | \$ 496                                    | \$ -               | \$ -                             | \$ 459                             | \$ -                     | \$ 125                                 | \$ 4,574         | \$ 145,527                | \$ -         | \$ 145,527    |
| Current portion of operating lease obligations                        | -                               | 5,559                                                         | 5,559                                                      | 405                    | -                                                         | -                                      | 57,508                                    | -                  | 2,007                            | 40                                 | 1,655                    | -                                      | -                | 67,174                    | -            | 67,174        |
| Accounts payable and accrued expenses                                 | 261,394                         | 783,678                                                       | 1,045,072                                                  | 88,407                 | 2,353                                                     | 1,003                                  | 6,898                                     | 2,636              | 8,970                            | 13,592                             | 11,005                   | 5,152                                  | 26,164           | 1,211,252                 | -            | 1,211,252     |
| Due to affiliates                                                     | 311,086                         | 2,635                                                         | 313,721                                                    | 8,879                  | 9                                                         | -                                      | -                                         | -                  | 358                              | 30,717                             | 35,923                   | -                                      | -                | 389,607                   | (389,607)    | -             |
| Other current liabilities                                             | 141,715                         | 16,417                                                        | 158,132                                                    | 7,617                  | -                                                         | -                                      | -                                         | 939                | 7,824                            | 845                                | 27                       | -                                      | 665              | 176,049                   | -            | 176,049       |
| Total current liabilities                                             | 852,410                         | 808,289                                                       | 1,660,699                                                  | 106,966                | 2,362                                                     | 1,003                                  | 64,902                                    | 3,575              | 19,159                           | 45,653                             | 48,610                   | 5,277                                  | 31,403           | 1,989,609                 | (389,607)    | 1,600,002     |
| Long-term debt and finance lease obligations, less current maturities | 2,611,464                       | 20,228                                                        | 2,631,692                                                  | -                      | -                                                         | -                                      | 11,221                                    | -                  | -                                | 1,901                              | -                        | 4,345                                  | 124,502          | 2,773,661                 | -            | 2,773,661     |
| Long-term operating lease obligations                                 | -                               | 23,310                                                        | 23,310                                                     | 436                    | -                                                         | -                                      | 217,544                                   | -                  | 6,429                            | -                                  | 31,539                   | -                                      | -                | 279,258                   | -            | 279,258       |
| Due to affiliates                                                     | -                               | -                                                             | -                                                          | -                      | -                                                         | -                                      | -                                         | -                  | -                                | -                                  | -                        | -                                      | -                | -                         | -            | -             |
| Accrued pension benefits                                              | -                               | 4,275                                                         | 4,275                                                      | -                      | -                                                         | -                                      | -                                         | -                  | -                                | -                                  | -                        | -                                      | 2,799            | 7,074                     | -            | 7,074         |
| Other liabilities held for sale                                       | -                               | -                                                             | -                                                          | -                      | -                                                         | -                                      | -                                         | -                  | -                                | -                                  | -                        | -                                      | -                | -                         | -            | -             |
| Other liabilities                                                     | 209,587                         | 196,070                                                       | 405,657                                                    | 13,072                 | 787                                                       | 645                                    | 783                                       | 2,001              | 52                               | 7                                  | -                        | 4,443                                  | 143,996          | 571,443                   | -            | 571,443       |
| Total liabilities                                                     | 3,673,461                       | 1,052,172                                                     | 4,725,633                                                  | 120,474                | 3,149                                                     | 1,648                                  | 294,450                                   | 5,576              | 25,640                           | 47,561                             | 80,149                   | 14,065                                 | 302,700          | 5,621,045                 | (389,607)    | 5,231,438     |
| Net assets                                                            |                                 |                                                               |                                                            |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |               |
| Without donor restrictions controlled by the Network                  | 1,341,804                       | 4,232,013                                                     | 5,573,817                                                  | 54,438                 | 82,532                                                    | 40,410                                 | 158,759                                   | 92,168             | 26,293                           | 9,089                              | 36,483                   | 92,763                                 | 93,693           | 6,260,445                 | (5,001)      | 6,255,444     |
| Without donor restrictions attributable to noncontrolling interests   | -                               | (255)                                                         | (255)                                                      | 1,644                  | -                                                         | -                                      | -                                         | -                  | 601                              | 4,962                              | (10,331)                 | -                                      | -                | (3,379)                   | 790          | (2,589)       |
| Net assets without donor restriction                                  | 1,341,804                       | 4,231,758                                                     | 5,573,562                                                  | 56,082                 | 82,532                                                    | 40,410                                 | 158,759                                   | 92,168             | 26,894                           | 14,051                             | 26,152                   | 92,763                                 | 93,693           | 6,257,066                 | (4,211)      | 6,252,855     |
| Net assets with donor restrictions                                    | 12,031                          | 440,702                                                       | 452,733                                                    | (107)                  | -                                                         | 445,027                                | -                                         | -                  | -                                | -                                  | -                        | 12,083                                 | 12,143           | 921,879                   | (457,058)    | 464,821       |
| Total net assets                                                      | 1,353,835                       | 4,672,460                                                     | 6,026,295                                                  | 55,975                 | 82,532                                                    | 485,437                                | 158,759                                   | 92,168             | 26,894                           | 14,051                             | 26,152                   | 104,846                                | 105,836          | 7,178,945                 | (461,269)    | 6,717,676     |
| Total liabilities and net assets                                      | \$ 5,027,296                    | \$ 5,724,632                                                  | \$ 10,751,928                                              | \$ 176,449             | \$ 85,681                                                 | \$ 487,085                             | \$ 453,209                                | \$ 97,744          | \$ 52,534                        | \$ 61,612                          | \$ 106,301               | \$ 118,911                             | \$ 408,536       | \$ 12,799,990             | \$ (850,876) | \$ 11,949,114 |

The accompanying notes are an integral part of these consolidating financial statements.

# Hackensack Meridian Health, Inc.

## Consolidating Statement of Operations

### Year Ended December 31, 2024

(in thousands)

|                                                                               | Hackensack Meridian Health Inc. | HMH Hospitals Corporation Excluding Carrier Behavioral Health | HMH & Hospitals Corporation (Obligated Group) Subtotal | HMH Physician Division | HMH Carrier Behavioral Health (HMH Hospitals Corporation) | Hackensack Meridian Health Foundations | Hackensack Meridian Ambulatory Care, Inc. |                    |                                  |                                    |                          | Hackensack Meridian School of Medicine | Other Affiliates | Total Before Eliminations | Eliminations | Total        |
|-------------------------------------------------------------------------------|---------------------------------|---------------------------------------------------------------|--------------------------------------------------------|------------------------|-----------------------------------------------------------|----------------------------------------|-------------------------------------------|--------------------|----------------------------------|------------------------------------|--------------------------|----------------------------------------|------------------|---------------------------|--------------|--------------|
|                                                                               |                                 |                                                               |                                                        |                        |                                                           |                                        | Realty Corporation & Subsidiaries         | Home Care Division | Long-Term Care & Other Divisions | Health Ventures, Inc. & Subsidiary | Ambulatory Ventures Inc. |                                        |                  |                           |              |              |
| <b>Unrestricted revenues and other support</b>                                |                                 |                                                               |                                                        |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |              |
| Net patient service revenue                                                   | \$ 51,699                       | \$ 7,241,795                                                  | \$ 7,293,494                                           | \$ 677,392             | \$ 89,064                                                 | \$ -                                   | \$ -                                      | \$ 96,762          | \$ 17,864                        | \$ 21,538                          | \$ 29,017                | \$ -                                   | \$ 1,858         | \$ 8,226,989              | \$ (41,325)  | \$ 8,185,664 |
| Other revenue                                                                 | 195,930                         | 215,511                                                       | 411,441                                                | 25,654                 | 590                                                       | 15,192                                 | 9,087                                     | 1,010              | 105,260                          | 8,156                              | 921                      | 55,018                                 | 103,205          | 735,534                   | (39,985)     | 695,549      |
| Net (loss) gain on equity investments                                         | (26,554)                        | 24,964                                                        | (1,590)                                                | -                      | -                                                         | -                                      | 175                                       | 983                | (2,572)                          | 112                                | 10,999                   | -                                      | (73)             | 8,034                     | (543)        | 7,491        |
| Net assets released from restriction used for operating activities            | -                               | 23,527                                                        | 23,527                                                 | 2,481                  | 523                                                       | -                                      | -                                         | 195                | -                                | -                                  | -                        | 878                                    | -                | 27,604                    | -            | 27,604       |
| Total unrestricted revenues and other support                                 | 221,075                         | 7,505,797                                                     | 7,726,872                                              | 705,527                | 90,177                                                    | 15,192                                 | 9,262                                     | 98,950             | 120,552                          | 29,806                             | 40,937                   | 55,896                                 | 104,990          | 8,998,161                 | (81,853)     | 8,916,308    |
| <b>Expenses</b>                                                               |                                 |                                                               |                                                        |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |              |
| Salaries and contracted labor                                                 | -                               | 2,680,120                                                     | 2,680,120                                              | 250,411                | 68,786                                                    | 14,445                                 | 1,556                                     | 47,744             | 32,708                           | 18,025                             | 15,411                   | 16,071                                 | 21,997           | 3,167,274                 | (218)        | 3,167,056    |
| Physician salaries and fees                                                   | -                               | 162,187                                                       | 162,187                                                | 621,268                | 6,399                                                     | -                                      | -                                         | 763                | -                                | 7,724                              | (60)                     | 2,780                                  | 1,044            | 802,105                   | -            | 802,105      |
| Employee benefits                                                             | 16,974                          | 640,160                                                       | 657,134                                                | 105,163                | 14,506                                                    | 2,512                                  | 305                                       | 10,453             | 6,945                            | (12,181)                           | 2,215                    | 4,775                                  | 4,411            | 796,238                   | (39,518)     | 756,720      |
| Supplies and other expenses                                                   | 19,747                          | 3,376,533                                                     | 3,396,280                                              | (275,304)              | 16,085                                                    | 9,768                                  | 8,367                                     | 34,424             | 105,816                          | 19,894                             | 9,093                    | 18,380                                 | 95,241           | 3,438,044                 | (41,575)     | 3,396,469    |
| Depreciation and amortization                                                 | 2,733                           | 268,807                                                       | 271,540                                                | 4,707                  | 3,726                                                     | 100                                    | 4,615                                     | 1,192              | 1,115                            | 2,325                              | 5,074                    | 1,371                                  | 9,764            | 305,529                   | -            | 305,529      |
| Interest                                                                      | 2,399                           | 93,017                                                        | 95,416                                                 | 18                     | -                                                         | -                                      | 520                                       | -                  | -                                | 127                                | 1,695                    | 184                                    | 3,168            | 101,128                   | -            | 101,128      |
| Total expenses                                                                | 41,853                          | 7,220,824                                                     | 7,262,677                                              | 706,263                | 109,502                                                   | 26,825                                 | 15,363                                    | 94,576             | 146,584                          | 35,914                             | 33,428                   | 43,561                                 | 135,625          | 8,610,318                 | (81,311)     | 8,529,007    |
| Excess (deficit) of revenues over expenses before other operating adjustments | 179,222                         | 284,973                                                       | 464,195                                                | (736)                  | (19,325)                                                  | (11,633)                               | (6,101)                                   | 4,374              | (26,032)                         | (6,108)                            | 7,509                    | 12,335                                 | (30,635)         | 387,843                   | (542)        | 387,301      |
| <b>Other operating adjustments</b>                                            |                                 |                                                               |                                                        |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |              |
| Investment income (loss), net                                                 | 550,310                         | 5,671                                                         | 555,981                                                | (1,757)                | -                                                         | -                                      | 14                                        | (2)                | 840                              | 247                                | 166                      | 391                                    | 7,291            | 563,171                   | -            | 563,171      |
| Other gains, net                                                              | 21,643                          | -                                                             | 21,643                                                 | -                      | -                                                         | -                                      | -                                         | -                  | -                                | -                                  | 66                       | -                                      | -                | 21,709                    | -            | 21,709       |
| Excess (deficit) of revenues over expenses                                    | 751,175                         | 290,644                                                       | 1,041,819                                              | (2,493)                | (19,325)                                                  | (11,633)                               | (6,087)                                   | 4,372              | (25,192)                         | (5,861)                            | 7,741                    | 12,726                                 | (23,344)         | 972,723                   | (542)        | 972,181      |
| <b>Other adjustments in net assets without donor restrictions</b>             |                                 |                                                               |                                                        |                        |                                                           |                                        |                                           |                    |                                  |                                    |                          |                                        |                  |                           |              |              |
| Net assets released from restriction for capital acquisitions                 | -                               | 50,125                                                        | 50,125                                                 | -                      | 1,988                                                     | 38,756                                 | -                                         | -                  | -                                | -                                  | -                        | 447                                    | 8,345            | 99,661                    | (38,756)     | 60,905       |
| Transfers from (to) affiliates                                                | 159,096                         | (302,718)                                                     | (143,622)                                              | 60,048                 | 19,188                                                    | (26,790)                               | 52,032                                    | (2,985)            | 20,351                           | (1,244)                            | (15,357)                 | (23,514)                               | 23,136           | (38,757)                  | 38,757       | -            |
| Pension-related adjustments                                                   | -                               | 61,477                                                        | 61,477                                                 | -                      | -                                                         | -                                      | -                                         | -                  | -                                | -                                  | -                        | -                                      | -                | 61,477                    | -            | 61,477       |
| Other changes                                                                 | (26,793)                        | (1,769)                                                       | (28,562)                                               | -                      | -                                                         | -                                      | 749                                       | -                  | -                                | (1,283)                            | (36,345)                 | 26,775                                 | -                | (38,666)                  | -            | (38,666)     |
| Contributions from (distributions to) noncontrolling interests                | -                               | 280                                                           | 280                                                    | 2,592                  | -                                                         | -                                      | (4)                                       | -                  | (298)                            | 4,598                              | -                        | -                                      | -                | 7,168                     | -            | 7,168        |
| Total increase (decrease) in net assets without donor restrictions            | \$ 883,478                      | \$ 98,039                                                     | \$ 981,517                                             | \$ 60,147              | \$ 1,851                                                  | \$ 333                                 | \$ 46,690                                 | \$ 1,387           | \$ (5,139)                       | \$ (3,790)                         | \$ (43,961)              | \$ 16,434                              | \$ 8,137         | \$ 1,063,606              | \$ (541)     | \$ 1,063,065 |

The accompanying notes are an integral part of these consolidating financial statements.

**Hackensack Meridian Health, Inc.**  
**Note to Consolidating Supplemental Schedules**  
**Year Ended December 31, 2024**

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**1. Basis of Presentation**

The consolidating supplemental schedules (the “consolidating schedules”) presented above were derived from and relate directly to the underlying accounting and other records used to prepare the consolidating financial statements. The consolidating schedules are presented for purposes of additional analysis of the consolidating financial statements rather than to present the financial position, results of operations, changes in net assets and cash flows of the individual companies within the Network and are not a required part of the consolidated financial statements. The individual companies within the Network as presented within the consolidating schedules are disclosed within Note 1 to the consolidated financial statements.